EXECUTIVE BOARD MEETING

EBS/16/11

March 1, 2016

To: Members of the Executive Board

From: The Secretary

Subject: **Kenya—Second Reviews Under the Stand-By Arrangement and the Arrangement Under the Standby Credit Facility, and Requests for a New Twenty-Four Month Stand-By Arrangement, and a New Twenty-Four Month Arrangement Under the Standby Credit Facility**

Board Action:	Executive Directors' **consideration** (Formal)
Tentative Board Date:	**Monday, March 14, 2016**
Proposed Decisions:	Pages 21 and 22
Publication:	Yes*
Questions:	Mr. Kramarenko, AFR (ext. 34357) Mr. Alper, AFR (ext. 35907) Mr. Hobdari, AFR (ext. 36276)
Document Transmittal in the Absence of an Objection and in accordance with Board policy:	Wednesday, March 9, 2016—WTO After Board Consideration—African Development Bank, Common Market for Eastern and Southern Africa, European Commission

***The authorities have indicated that they consent to the Fund's publication of this paper**

INTERNATIONAL MONETARY FUND

KENYA

March 1, 2016

SECOND REVIEWS UNDER THE STAND-BY ARRANGEMENT AND THE ARRANGEMENT UNDER THE STANDBY CREDIT FACILITY, AND REQUESTS FOR A NEW TWENTY-FOUR MONTH STAND-BY ARRANGEMENT, AND A NEW TWENTY-FOUR MONTH ARRANGEMENT UNDER THE STANDBY CREDIT FACILITY

EXECUTIVE SUMMARY

Precautionary arrangements: The Executive Board approved on February 2, 2015 a Stand-By Arrangement (SBA) and an arrangement under the Standby Credit Facility (SCF), originally for 12 months, with combined access of SDR 488.52 million (90 percent of quota)[1]. The first reviews, focusing on the policy response to external shocks, were completed on September 16, 2015. On January 26, 2016, these arrangements were extended until March 15, 2016 to provide more time for implementing structural and fiscal measures. The authorities have treated both arrangements as precautionary.

Performance under the current program. Although Kenya's macroeconomic performance remains robust, external shocks complicated achievement of some program's macroeconomic objectives**.** All end-September and continuous performance criteria (PCs) were met. Performance under the structural benchmarks was mixed.

New program. In light of persistent external risks and a weaker outlook, the authorities have requested continued program engagement with the Fund under new 24-month SBA and SCF (with access of 130.67 percent and 65.33 percent of quota, respectively). The authorities intend to treat both new arrangements as precautionary. Their economic program for 2016–18 envisages a growth friendly fiscal adjustment, further steps toward a modern inflation targeting framework and improved financial sector supervision and regulation, and measures aimed at improving macroeconomic statistics.

Staff views: The authorities demonstrated satisfactory track record in program implementation and policy adjustment to shocks. Their new 24-month program includes a comprehensive package of measures targeting a significant reduction in vulnerabilities, paving the way for an eventual exit from Fund arrangements. On this basis, the staff recommends completion of the second reviews under the current SBA and SCF and supports the authorities' request for the new 24-month SBA and SCF.

[1] In 2016, Kenya's quota increased from SDR 271.4 million to SDR 542.8 million. Ratios in this report are calculated relative to the new quota.

Approved By
Roger Nord (AFR) and Chris Lane (SPR)

Discussions were held in Nairobi during December 2–15, 2015. The staff team comprised Messrs V. Kramarenko (head), E. Alper, N. Hobdari (all AFR); D. Moore (SPR); C. Abdallah (FAD); G. Gasha (MCM), and A. Remo (RES). Mr. R. Morales (Resident Representative) participated in the discussions and Ms. R. Ngugi (OED) joined the mission. The mission met with Cabinet Secretary to the Treasury Henry Rotich, Central Bank of Kenya (CBK) Governor Patrick Njoroge, as well as other senior government officials, members of the CBK Monetary Policy Committee (MPC), and representatives of the private sector, youth organizations, and the donor community.

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CONTEXT

1. **On February 2, 2015, the Executive Board approved the 12-month SBA and SCF, which the authorities have treated as precautionary.** The blended arrangement has provided insurance against potential exogenous shocks that could have led to balance of payments need while helping anchor pro-growth macroeconomic and institutional reforms.

2. **The First Reviews under the SBA and SCF, completed in September 2015, focused on policy measures to address external shocks.** The tapering of capital inflows and a major terrorist attack adversely affected foreign exchange inflows and growth. The authorities allowed for some exchange rate depreciation and used reserve buffers to contain volatility. On the fiscal front, the authorities took additional revenue measures to partly offset revenue shortfalls. The fiscal deficit and reserve targets were adjusted to reflect the impact of shocks.

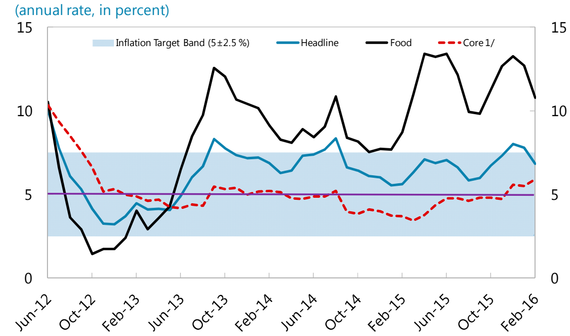
3. **In response to significant external shocks in 2015, Kenya tightened economic policies and continued to treat the arrangements as precautionary.** Pressures on foreign exchange and money markets have now subsided, access to domestic fiscal financing has improved, and the authorities have been able to recoup part of the international reserves drawdown. Additional foreign borrowing also helped stabilize budgetary financing and improve the international reserves position. The growth outlook remains robust, albeit weaker than before. However, inflation has increased, and fiscal and external buffers are lower.

4. **In light of the weaker macroeconomic outlook and continued external risks, the authorities requested new 24-month SBA and SCF, which they will again treat as precautionary**. Discussions on the second reviews under the current 12-month SBA and SCF and the new program were combined. The policy dialogue focused on policies that will balance the authorities' objectives of sustaining inclusive, investment-driven growth while maintaining public debt sustainability, reducing inflation, and increasing resilience.

RECENT ECONOMIC DEVELOPMENTS

5. **In 2015, the economy continued to expand robustly, although at a slower-than-projected pace.** Real GDP grew by an estimated 5.6 percent in 2015, driven by public infrastructure spending, buoyant credit growth, and strong consumer demand. But the growth acceleration in 2015 was slower than projected under the program, due mainly to delays in planned road infrastructure spending, weaker tourism receipts in the wake of an April 2015 terrorist attack, and volatile external financing conditions.

Kenya: Recent Inflation Developments, 2012-2016
(annual rate, in percent)



Sources: Kenyan authorities and Fund staff estimates.
1/ Core inflation excludes, food, energy, and transportation.

6. **Inflation has exceeded the upper bound of the authorities' target range (5±2.5 percent) since December**. The recent increase in inflation reflected waning base effects of lower oil prices,

continued demand pressures, a weaker currency, accommodative monetary policy until June 2015, and adverse weather. In addition, changes in excise taxes (effective as of December 1) are estimated to have contributed 0.4 percentage points to 12-month inflation since then.

7. **The large current account deficit has started to decline, but financing flows and reserves have also fallen.** The current account deficit for 2015 is estimated to have narrowed to 8.2 percent of GDP in 2015, from 10.4 percent in 2014, which is mainly explained by an estimated decline in oil-related imports of more than 2 percentage points of GDP. However, the decline in financial inflows more than offset the improvement in the current account balance against the background of volatile global markets, contributing to an acceleration of exchange rate depreciation. The CBK intervened between March 2015 and February 2016 on both sides of the market, to reduce exchange rate volatility and contain the pace of depreciation. Net foreign exchange sales during this period led to a decline in gross official reserves from US$7.9 billion (4.8 months of imports) at end-2014 to US$7.5 billion (4.5 months of imports) in December 2015. The 12 percent depreciation of the Kenyan shilling against the U.S. dollar between January and December 2015 was modest by regional standards. Kenya's real effective exchange rate (REER) appreciated in real terms by 4 percent during 2015 (Figure 3), and its level is estimated to be moderately overvalued based on the External Balance Assessment "light" methodology.

8. **Improvements to the business climate are becoming evident.** Kenya was among the top 10 reformers in 2015 in the World Bank's Doing Business Survey, moving to 108th place (out of 189 countries) from 129th last year, with improvements especially in the provision of electricity, access to credit, and ease of registering property. At the same time, perception of corruption has increased.

PROGRAM PERFORMANCE

9. **Taking into account the significant shocks affecting the economy, performance under the current program has been satisfactory.** Adverse shocks to the economy caused growth to be lower in 2015 than initially projected by an estimated 1.3 percent of GDP. The slower-than-projected economic growth in turn contributed to a higher-than-initially projected fiscal deficit (by 1 percent of GDP) in 2014/15. International reserves declined but remained adequate at 4.5 months of imports at end-December 2015, broadly consistent with the initial program target, in part reflecting lower imports.

Kenya: Program Performance under the 12-Month SBA and SCF, 2015

	2015		
	Prog.	1st Rev.	Prelim.
Real GDP growth (percent)	6.9	6.5	5.6
CPI inflation, average (percent)	5.2	6.4	6.6
CPI inflation, eop (percent)	5.4	6.4	8.0
Overall fiscal balance (percent of GDP) [1]	-7.6	-8.4	-8.6
Current account balance (percent of GDP)	-7.3	-9.8	-8.2
Gross international reserves (months of imports)	4.4	4.0	4.5

Sources: Kenyan authorities and IMF staff estimates and projections.
[1] Fiscal years (e.g., 2015 refers to FY 2014/15).

- **Quantitative targets.** All end-September and continuous PCs were met (Appendix I, Table 1). The end-September quantitative indicative targets were met. The end-December quantitative targets were also met, with the exception of the end-December indicative target on social spending missed by a small margin (0.1 percent of GDP). This deviation is temporary, and it is expected that the fiscal year's target will be met.

- **Monetary policy consultation clause and inflation objective.** Although the current program's monetary policy consultation clause (for end-September 2016 test dates) was not triggered, inflation has risen in recent months and exceeded the upper bound of the authorities' target range since December 2015. Accommodative monetary policy and fiscal expansion largely explain the headline inflation running around 6.5–7.0 percent in the last 2½ years, compared with the mid-point of the inflation target range of 5 percent. Against this background, the recent supply shocks and the increased excises contributed to the overshooting of the target range.

- **Structural reforms.** Four out of six structural benchmarks were completed (Appendix I, Table 2). The implementation of the structural benchmarks laid the preconditions for a stronger, more independent CBK with clearer policy objectives, enhanced analytical capacity at the CBK, improved cash and public debt management, more transparent fiscal operations, and better quality external sector data that will allow for a better assessment of private sector vulnerabilities. Although two structural benchmarks were not completed, significant progress towards their achievement was made (MEFP ¶16): (i) a list of assets and liabilities by counties is ready for all but one of the 47 counties and the auditing is expected to start in July 2016;[2]

[2] Liabilities from pre-devolution local authorities amount to about 1 percent of GDP—a level that is not considered macro-critical.

and (ii) all but one envisioned steps under the Treasury Single Account (TSA) reform were completed; and the inclusion of debt service payments in Integrated Financial Management Information System (IFMIS) is expected in September 2016 (structural benchmark under the new program).

OUTLOOK AND RISKS

10. **There was broad agreement that a more challenging external environment warranted a revision of the program's baseline outlook** (Tables 1–4). Real GDP growth is projected to accelerate to 6 percent in 2016 (albeit below the initial projection of 6.8 percent), mainly on account of higher growth in agriculture from better rains, and an expected recovery of tourism following the recent removal of travel warnings by several main tourism source markets. Growth is expected to pick up further after 2016, supported by continued improvements in the business environment, modernized and expanded transport and energy infrastructure, and regional integration. However, the authorities and staff agreed to revise downwards medium-term potential growth by about ½ percent (to 6½ percent), as tighter external and domestic financing conditions will reduce private and public investments relative to earlier forecasts. Inflation is expected to remain above the target range's upper bound (7.5 percent) in the coming months. Based on policy commitments outlined below, inflation is expected to fall below 7.5 percent by mid-2016, and to converge gradually towards the mid-point of the target range.

Kenya: Macroeconomic Outlook, Baseline[1], 2014-18

	2014	2015		2016		2017		2018	
	Act.	1st Rev.	Est.	1st Rev.	Proj.	1st Rev.	Proj.	1st Rev.	Proj.
Real GDP growth (percent)	5.3	6.5	5.6	6.8	6.0	7.0	6.1	7.0	6.5
CPI inflation, average (percent)	6.9	6.4	6.6	5.9	6.6	5.1	5.7	5.0	5.1
CPI inflation, eop (percent)	6.0	6.4	8.0	5.3	5.8	5.0	5.5	5.0	5.0
Current account balance (percent of GDP)	-10.4	-9.8	-8.2	-9.7	-8.0	-7.4	-6.7	-6.9	-6.6
Overall fiscal balance (percent of GDP) [1]	-5.9	-8.4	-8.6	-8.0	-8.0	-6.2	-6.5	-4.5	-5.0
Gross international reserves (in billions of US$)	7.9	7.5	7.5	7.6	7.8	8.2	8.3	9.2	9.0
Gross international reserves (months of imports)	4.8	4.0	4.5	3.9	4.5	3.9	4.5	4.0	4.4
Total public debt (gross, percent of GDP)	48.1	52.2	51.2	53.4	53.1	53.0	54.4	51.8	54.0

Sources: Kenyan authorities and IMF staff estimates and projections.

[1] Fiscal years (e.g., 2015 refers to FY 2014/15).

11. **The authorities and staff concurred that risks to the growth outlook are on the downside.** A potential increase in volatility of capital flows represents the strongest downside risk. Other downside risks include residual security challenges, the uncertain impact of weather-related effects of El Nino on agriculture, pockets of vulnerabilities in the banking system, significant uncertainty about FDI in oil and gas exploration, and possible pressures for higher current and capital spending as the 2017 presidential elections approach.

POLICY DISCUSSIONS

12. Discussions focused on policies promoting sustainable, inclusive growth while reducing vulnerabilities. In light of a stronger-than-expected adverse impact of global financial conditions and a somewhat slower growth outlook, there was agreement on the need to rebalance the policy mix. During 2016/17–2017/18, the authorities intend to implement a fiscal adjustment of 3 percentage points of GDP, which would help reduce the burden on monetary policy in dealing with shocks, as well as put the present value of public debt on a trajectory towards 45 percent of GDP (in line with the East African Community (EAC) convergence criterion on debt levels) and support a further reduction in the current account deficit. Also, the authorities intend to press ahead with structural reforms aimed at increasing resilience to shocks, increasing the effectiveness of the government policies, and facilitating the achievement of their poverty reduction and economic modernization objectives.

A. Gearing Toward a Growth-Friendly Medium-Term Fiscal Consolidation

Recent Developments

13. Budget execution faced significant challenges in the first four months of 2015/16, but the fiscal situation is stabilizing. Revenue collection fell significantly short of program projections (by about 0.8 percent of GDP), reflecting lower-than-projected growth, persistent challenges in income tax and VAT collection, and a delay in approving new excise tax measures. Access to domestic financing was constrained during July–September, as a result of tight liquidity conditions and the government's reluctance to accept higher interest rates, which led to accumulation of pending bills. With the stabilization of liquidity conditions and the acceptance of higher rates, the Treasury borrowed about KSh 177 billion (2.5 percent of GDP) on a net basis during October–December. The Treasury has also substituted some of the planned domestic financing with foreign financing, by drawing in early November on a two-year syndicated loan of US$750 million (about 1.2 percent of GDP) at about 8 percent effective cost. An additional $600 million is expected to be borrowed from a bilateral creditor in 2016. Following the stabilization of financing flows, the government has resumed normal implementation of its expenditure program and is settling outstanding pending bills.

Policy Discussions

14. The authorities are committed to maintaining the fiscal deficit at 8 percent of GDP in 2015/16. In addition to the revenue shortfall of 0.8 percent of GDP, expenditure overruns are estimated to be about 0.3 percent of GDP in 2015/16 mainly due to higher domestic interest rates and the shilling depreciation. The authorities intend to close the fiscal gap of 1.2 percent of GDP by adopting a supplementary budget envisaging a reduction in current spending (0.4 percent of GDP), as well as a reduction of lower-priority development spending (0.8 percent of GDP) (MEFP ¶14).

15. There is a downside risk to tax revenue in the second half of 2015/16 that the authorities will mitigate through contingency planning. In the event that cumulative revenues through end–March 2016 fall short of target, the authorities will reschedule new investment projects to fully offset the shortfall (MEFP ¶14).

16. The programmed deficit reduction of 3 percentage points of GDP between 2015/16 and 2017/18 requires additional new measures. The completion of the first phase of the Standard Gauge Railway (SGR) project (Mombasa-Nairobi) would contribute to a 1.8 percent of GDP reduction in the targeted overall deficit. The authorities intend to achieve the remaining 1.2 percent of GDP deficit reduction through a package of revenue and expenditure measures, in the context of a growth-friendly fiscal adjustment that aims at maintaining the sizable envelope for infrastructure projects (MEFP ¶11), which also includes the SGR Phase II (Nairobi-Naivasha).

- **Revenue measures.** The authorities intend to focus their revenue measures on broadening the tax base and improving tax administration. Revenue measures under consideration include a reduction in tax expenditures, acceleration in the process of collecting large outstanding tax debts, an improvement in customs administration and income tax collection procedures, and a strengthening of the revenue-earning potential of counties (structural benchmark).

- **Expenditure measures.** The authorities are committed to increase the effectiveness and efficiency of public spending. In their view, focusing on savings on recurrent expenditures while prioritizing investment projects will help realize significant savings without jeopardizing the achievement of the developmental outcomes. Expenditure measures under consideration include streamlining of pay and allowances for civil servants; rationalizing spending on goods and services; and adopting stricter project selection, appraisal, and monitoring procedures to generate higher value for money.

17. The authorities continue their technical work on quantifying the potential fiscal impact of the above-mentioned measures. The first phase of this work is expected to be completed in May 2016, at the time of the finalization of the budget for 2016/17 in close consultation with the staff. The fiscal impact of the remaining measures will be completed by early 2017 and incorporated in the 2017/18 budget.

18. The authorities and staff agreed on Public Finance Management (PFM) reforms aimed at improving the efficiency of government spending and strengthening expenditure control to mitigate fiscal risks. Measures center on the following outcomes (MEFP ¶16): more effective use of IFMIS**,** improved internal controls to prevent expenditure arrears, enhanced fiscal reporting, and more transparent procurement procedures.

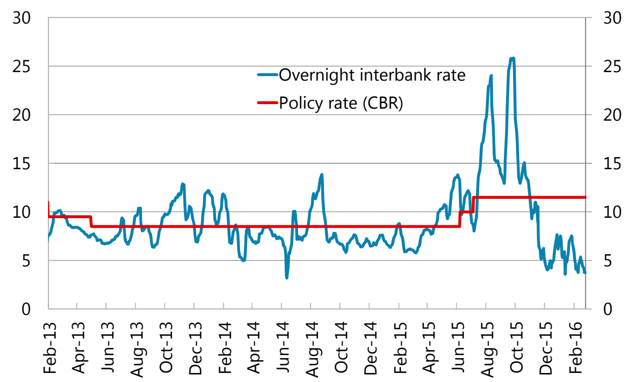
B. Maintaining Price Stability in the Face of Volatile External Flows

Recent Developments

19. The significant capital account shock and emerging financial stability concerns have tested the CBK's interest-rate based monetary policy framework (Figure 2, Table 5).

- **The April–September 2015 period** was characterized by foreign exchange pressures stemming from tapering of capital inflows. The CBK tightened monetary policy sharply out of concerns about excessive exchange rate depreciation and its pass-through effects on inflation. It increased the policy interest rate (CBR) by 300 bps to 11.5 percent, sold foreign exchange, mopped up liquidity through other operations, and restricted banks' access to the overnight discount window. The resulting liquidity squeeze curbed the exchange rate depreciation, but at the expense of a significant increase in the level (up to 26 percent) and volatility of the interbank interest rates.

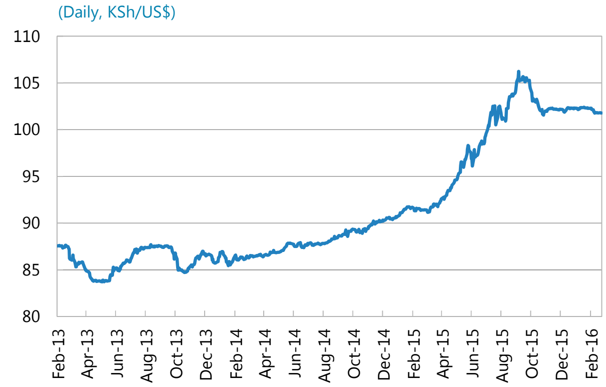
Kenya: Policy Rate and Interbank Rate, 2013-2016
(in percent)



Sources: CBK.

- **The October 2015–February 2016 period** witnessed easing foreign exchange market pressures and emerging financial stability concerns (¶26). Against this backdrop, the CBK loosened its de facto monetary policy stance (as measured by the interbank interest rate). It purchased foreign exchange, reopened the discount window, and engaged in reverse repo operations to support banks experiencing liquidity pressures. Combined with the liquidity impact of the government's drawing under the syndicated loan (¶13), interbank interest rates fell precipitously.

Kenya: Exchange Rate Developments, 2013-2016
(Daily, KSh/US$)



Sources: CBK, staff calculations

Policy Discussions

20. Discussions on the inflation outlook focused on the relative weights of demand and supply factors. The staff argued that inflation risks remain elevated in the near term, reflecting (i) continued demand pressures, including from the fiscal impulse in 2015/16 and still-buoyant credit growth (about 18 percent at end-December 2015); and (ii) possible second-round effects of previous exchange rate depreciation and supply shocks as reflected in rising non-food non-fuel inflation (Figure 2 and Annex I). The CBK, however, is of the view that the recent pickup in inflation reflects mostly temporary supply shocks whose impact on the 12-month inflation rate should subside after April 2016 (MEFP ¶18), and that recent oil price declines would also help lower inflation.

21. Notwithstanding some differences in the assessment of the near-term inflation outlook, the CBK and the staff agreed on the importance of gradually re-aligning the interbank interest rate with the policy rate to reduce inflation. The staff indicated that despite some action to mop-up liquidity since late December 2015, the interbank interest rate (4.0–7.5 percent), which is a better gauge of the monetary policy stance than the CBR, has been negative in real terms. The CBK argued for a cautious approach to the re-alignment of the interbank interest rates with the CBR because of the time needed to improve money markets and avoid liquidity shocks in light of recent liquidity stresses in smaller banks (¶26). The CBK also underscored that it would remain vigilant and stood ready to tighten monetary policy more decisively if clearer evidence of demand pressures emerged and the inflation outlook worsened (MEFP ¶18). The CBK was confident that the inflation target range for June 2016 under the program's monetary policy consultation clause was within reach. While the staff agreed with the gradual approach to re-aligning the interbank interest rate with the CBR,[3] it cautioned that delays in starting the realignment process could entrench inflation expectations above the mid-point of the target range.

22. The CBK reiterated their commitment to a gradual transition to a modern inflation targeting framework. The staff underscored the importance of strengthening the role of the CBR by upgrading the coordination on cash and debt management with the Treasury, by conducting timely open market operations, as necessary, and by reviewing standing facilities. The CBK agreed to adopt a formal interbank interest rate corridor by September 2016 at the latest after strengthening the monetary policy transmission mechanism through reforms in money and credit market operations (MEFP ¶19).

23. The CBK emphasized its commitment to a floating exchange rate regime. The CBK's foreign exchange intervention policy intends to strike a balance between the need to bolster reserve buffers and smooth excessive exchange rate volatility. There was broad agreement that a gradual adjustment of the REER toward equilibrium would be facilitated by increasing credibility of the monetary policy framework, by implementing the targeted fiscal adjustment, and by adhering to the principles of a floating exchange rate arrangement (Table 2).

[3] The staff's model-based projections (Annex I) suggest that a gradual re-alignment of the interbank interest rate with the CBR in the near term would be sufficient to reduce inflation below 7.5 percent by mid-2016.

C. Reducing Financial Sector Vulnerabilities

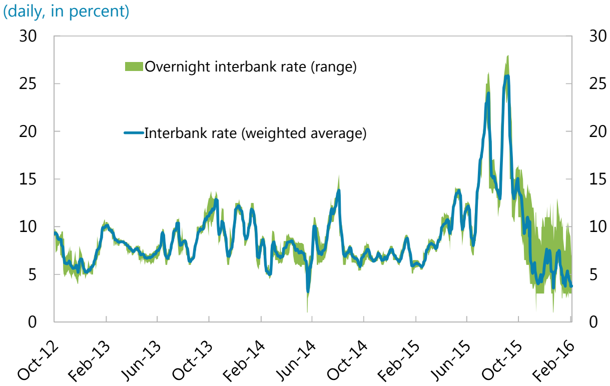
Recent Developments

24. Financial indicators remain sound overall but there are pockets of vulnerabilities. The latest financial soundness indicators suggest that banks remain well-capitalized and that non-performing loans (NPLs) stabilized at about 6 percent of total gross loans; and although provisions remained broadly adequate at about 2/3 of NPLs, they have declined somewhat since early 2015 (Table 5, Figure 5). The average liquidity ratio for the banking system has declined somewhat in recent months, but has remained adequate. At the same time, the system-wide indicators should be interpreted with caution in light of rapid credit growth over the last three years (Figure 2), the recent intervention in two banks (¶25), and an episode of liquidity stress in smaller banks (¶26).

25. The authorities have recently put two small non-systemic banks under receivership. In both cases, the Kenya Deposit Insurance Corporation (KDIC) was appointed as receiver. The smaller of the two banks (0.1 percent of total bank assets) was intervened for serious liquidity and capital deficiencies reasons, and is already put under liquidation. For the second bank (1.8 percent of total bank assets), initial findings suggest violations of statutory limits and inadequate loan-loss provisions.

26. An episode of liquidity stress affected some small banks during October–November 2015. Smaller-size banks suffered loss of wholesale deposits following a "flight-to quality" reaction to the news of the second bank's placement under receivership. This shift was compounded by an increasing segmentation of the interbank market, intensifying liquidity stress in these banks. The CBK acted swiftly by providing the needed liquidity to the affected banks helping stabilize their liquidity positions.

Kenya: Interbank Market Rates, 2012-2016
(daily, in percent)



Sources: CBK, staff calculations.

Policy Discussions

27. Staff and the authorities concurred that risks to the banking system warrant increased monitoring. Risks requiring particular attention in the view of the staff and the CBK are credit and liquidity risks, as well as risks associated with potential shocks to interest and exchange rates in light of heightened instability in global markets.

28. The CBK plans to strengthen banking supervision and regulation to address emerging risks. The CBK intends to assess banking system vulnerabilities by completing the first round of improved banks' stress tests. Based on this assessment, the authorities plan to take necessary actions, including requirements to raise banks' capital when appropriate, and maintain adequate provisions relative to NPLs. The CBK also aims to continue efforts to strengthen the banking sector's regulatory framework based on a recent MCM needs assessment mission with a focus on financial stability. Based on this review, the CBK will prepare an action plan, whose key measures will be reflected in program objectives during subsequent program reviews (MEFP ¶24). Furthermore, the CBK is committed to effectively implementing a risk-based approach to the anti-money laundering and combating of terrorism financing (AML/CFT) supervision.

STRUCTURAL REFORMS AND DATA PROVISION AND QUALITY: SUPPORTING BUSINESS ENVIRONMENT AND POLICY MAKING

29. The authorities' structural reform agenda is centered on further progress in strengthening the business climate. It envisages the implementation of the recently approved Companies Act, which simplifies business requirements, and the Insolvency Act, which allows distressed companies to reorganize themselves prior to liquidation. Further improvements in the automation and simplification of Government services are envisaged (MEFP ¶26).

30. The authorities have made further progress towards improving macroeconomic statistics, especially on the external sector (MEFP ¶28). In September 2015, the Kenya National Bureau of Statistics (KNBS) published Foreign Investment Survey (FIS) data for 2012 and 2013. The KNBS will draw on the FIS to revise historical data on the balance of payments, notably for the financial account, and also to produce first estimates of the International Investment Position statement by end-June 2016 (structural benchmark). Furthermore, the KNBS began work on the Household Budget Survey in September 2015, with a view to publishing the results by early 2017 (MEFP ¶28).

31. The authorities are also making progress on their commitment to improve the timeliness and quality of fiscal reporting (MEFP ¶28). In its Quarterly Budget and Economic Review (QBER) for the first quarter of 2015/16, the National Treasury published its first estimates for the national government for 2012/13-2015/16 consistent with the methodology of the Government Finance Statistics (GFS) Manual. Steps are being taken towards publishing quarterly consolidated GFS-compliant fiscal accounts for the national government and for county governments in the near future (MEFP ¶28).

ADVERSE SCENARIO AND NEW PROGRAM MODALITIES

32. **Kenya remains vulnerable to shocks that could have a significant adverse impact on the economy, the balance of payments, and international reserves.** Kenya does not face a financing gap under the baseline scenario, despite a narrower international reserve buffer. Weather and security-related shocks remain possible, although the latter seems to have diminished relative to those at the time of the original request (IMF Country Report No. 15/31). Higher rainfall (El Niño) could boost agricultural production in the short term, and several countries representing key tourism markets have eased travel advisories. But the weaker external environment and more volatile global financial markets have increased the risk of potential capital account shocks. Kenya could be vulnerable to such shocks in view of its sizeable current account deficit, which is largely financed by non-FDI inflows, and its increased integration into global capital markets.

33. **An adverse shock scenario simulates a temporary shock to the financial account of the balance of payments during 2016–17.** In the event of another bout of instability in global markets, possibly related to the on-going tightening of the U.S. monetary policy or adverse developments in emerging or frontier markets, net capital inflows could be significantly lower than projected under the baseline and adversely affect Kenya's economy. In the adverse scenario, the staff simulated plausible shocks of medium severity (text table and Table 6). As a result of these shocks, net capital inflows could be lower by some $5 billion over the next two years. Portfolio inflows into both equity and debt could be lower by some $3 billion, taking into account significant sensitivity of such flows to global market conditions. Other short-term inflows to Kenya could also decline by $0.6 billion (in line with the experience of emerging markets, a 90-percent roll-over rate is assumed). Finally, FDI projects, which investors finance in global markets, could also be negatively affected, resulting in an estimated decline of $1.2 billion. The lower capital inflows would result in lower imports and investment, which would in turn translate into slower growth and lower reserves. Even assuming a policy adjustment and the related import compression, reserve cover could fall to 3 months of imports in 2017, with the trajectory for reserves undermining confidence.

34. **Under the adverse scenario, the authorities intend to respond with corrective policies to safeguard macroeconomic stability and maintain debt sustainability.**

- The projected impact of the simulated shock of about $5 billion would be partly offset by the likely compression of the current account deficit of $1.9 billion. Without the proposed Fund financing amounting to $1.5 billion, gross official reserves would be $3.1 billion lower than under the baseline scenario by end-2017. Because the shock arises from the financial account, no balance of payments support from other institutions is assumed.

Box 1. Kenya: Potential Impact of Exogenous Shocks, 2016–17

(in billions of U.S. dollars, relative to baseline, unless otherwise indicated)

	2016	2017	2016–17
Simulated impact: capital flow slowdown[1]	-2.8	-2.0	-4.9
FDI	-0.8	-0.4	-1.2
Portfolio investment	-1.7	-1.3	-3.1
Short-term	-0.3	-0.3	-0.6
Excluding IMF and partner financing			
Current account improvement[2]	0.7	1.2	1.9
Level of reserves (2015: 7.5)[3]	5.6	5.3	
In months of prospective imports (2015: 4.5)	3.4	3.0	
Financing gap	0.8	0.7	1.5
Development partners (uncertain)	0.0	0.0	0.0
IMF program (US$ billion)[4]	0.8	0.7	1.5
In percent of quota[4]	111	86	196
Level of reserves with financing[4] (2015: 7.5)	6.4	6.8	
In months of prospective imports (2015: 4.5)	3.9	3.8	

[1] Channels include FDI, portfolio investment, and short-term flows.
For FDI, assumes decline of net FDI from 1.7 percent of GDP in 2015, to 1.2 percent in 2016. For short-term flows, based on rollover rate of 90 percent for private short-term (around 25th percentile), applied to estimated short-term private debt stock for 2015.

[2] Because the valuation effects of the assumed REER depreciation on GDP dominate the trade volume effects and the shock is temporary, only modest improvement in the external current account deficit relative to GDP is projected during 2016-17, despite a significant improvement in the current account deficit in U.S. dollar terms.

[3] After direct and indirect effects, including the impacts of depreciation and import compression.

[4] Includes final SBA-SCF disbursement (less than $0.1 billion) scheduled for March 2018.

Box 2. Kenya: Macroeconomic Outlook, Adverse Scenario, 2015–17

	2015	2016		2017	
	Est.	Baseline	Adverse	Baseline	Adverse
Real GDP growth (percent)	5.6	6.0	2.5	6.1	5.0
CPI inflation, average (percent)	6.6	6.6	7.6	5.7	6.9
CPI inflation, eop (percent)	8.0	5.8	7.3	5.5	6.5
Current account balance (percent of GDP) [1]	-8.2	-8.0	-7.7	-6.7	-6.0
Overall fiscal balance (percent of GDP) [2]	-8.6	-8.0	-8.1	-6.5	-6.7
Structural overall fiscal balance (percent of GDP) [2]	-8.6	-8.0	-7.6	-6.5	-5.8
Gross international reserves (in billions of US$) [3]	7.5	7.8	6.4	8.3	6.8
Gross international reserves (months of imports) [3]	4.5	4.5	3.9	4.5	3.8
Total public debt (gross, percent of GDP)	51.2	53.1	56.6	54.4	60.6

Sources: Kenyan authorities and IMF staff estimates and projections.

[1] Because the valuation effects of the assumed REER depreciation on GDP dominate the trade volume effects and the shock is temporary, only modest improvement in the external current account deficit relative to GDP is projected, despite a significant improvement in the current account deficit in U.S. dollar terms during 2016-17.

[2] Fiscal years (e.g., 2015 refers to FY 2014/15).

[3] Assuming full drawings under the program as shown in Table 7.

- The CBK stands ready to tighten monetary policy in the context of a floating exchange rate regime. The REER is projected to be more depreciated by end-2017 under the adverse scenario than under the baseline scenario.

- It was agreed that fiscal policy would help mitigate the impact of the shocks, by reprioritizing spending to cushion vulnerable groups and to preserve high-priority public investment programs. While the room for a faster-than-targeted fiscal tightening is limited by the devolution effort mandated by the Constitution and the pressing need to upgrade Kenya's infrastructure, the authorities concurred that some additional fiscal measures would be inevitable (including cuts in goods and services spending and a postponement of new capital investment projects). This would help reduce the burden on monetary policy and facilitate domestic demand adjustment in response to external shocks. The cyclically adjusted fiscal deficits under the adverse scenarios are estimated to be about ¾-1 percent of GDP lower in 2016/17 and 2017/18 than under the baseline scenario.

A. Access and Phasing

35. To guard against potential external shocks, the staff proposes the following length and access under the new precautionary program:

- **Length**. The new 24-month SBA and SCF arrangements would continue to cover plausible prospective financing needs and would provide an uninterrupted anchor to the authorities' policies through March 2018. The authorities plan to treat the new arrangements as precautionary. Successful program implementation under the new arrangements would significantly reduce external vulnerabilities and the likelihood that a balance of payments need would arise, paving the way for an eventual exit from program engagement.

- **Access**. The desirable level of access should provide enough room for Kenya to undertake all the necessary additional adjustment measures (¶34) without putting an undue burden on domestic activity, jeopardizing socially-oriented expenditure, and undermining social cohesion. Taking into account these factors and the authorities' satisfactory track record in program implementation and their demonstrated willingness to adjust policies in response to shocks, as well as increased potential balance of payment need, staff supports access of 130.67 percent of quota (or SDR 709.259 million) under the new precautionary SBA and 65.33 percent of quota (or SDR 354.629 million) under the new precautionary SCF. To preserve continued insurance against potential shocks leading to a balance of payments need, the initial access upon approval of the new SBA and SCF will total 100 percent of quota (of which 66.7 percent of quota under the new SBA and 33.33 percent under the new SCF) to ensure adequate financing in case of a sudden, large shock.

B. Implementation of Safeguards Recommendations

36. An updated safeguards assessment of the CBK was completed in May 2015. The assessment concluded that the CBK continued to maintain effective operational controls and that the draft CBK Bill, which has been submitted to Parliament, would strengthen the bank's legal framework once enacted. A majority of the assessment's recommendations, including those to strengthen the bank's internal audit and financial reporting practices, and its legal framework, have been implemented. However, the assessment's recommendation to reconstitute a quorate CBK Board remains outstanding. This will require a parliamentary approval of a sufficient number of non-executive directors to establish a quorate Board.

C. Program Conditionality and Monitoring

37. The new SBA and SCF will be monitored with semi-annual reviews. On the quantitative side, performance will be assessed against semi-annual PCs (June 2016 and December 2016 test dates), indicative targets in intervening quarters (March 2016 and September 2016), and a continuation of the monetary policy consultation clause (Appendix I, Table 3). A number of macro-critical structural measures are included in the list of structural benchmarks during 2016 (Appendix I, Table 4). The first review will focus on the implementation of the budget for 2016/17 and fiscal structural reforms, the establishment of a corridor for the interbank interest rate, near-term inflation risks, and follow-up measures in the financial sector supervision and regulation.

D. Capacity to Repay the Fund and Risks to the Program

38. In addition to the risks to the outlook (¶11), there are a number of program-specific risks. These include fiscal risks from devolution complicating additional fiscal adjustment that could be needed in case of a shock and a possible drawing under the program before initiating the required policy adjustment (¶34) in response to a shock. Mitigating factors include structural measures related to the devolution, legislated debt ceilings on counties, a track record of satisfactory performance in the face of shocks under the current arrangements, and market discipline that would make it costly to draw on Fund resources prematurely without the necessary adjustment of policies.

39. Kenya's capacity to repay the Fund remains strong. Although Kenya has significant current PRGT obligations to the Fund (112 percent of quota at end-2015), the proposed access—which the authorities plan to treat as precautionary—will not affect significantly the level of total debt. Consistent with the findings of the updated debt sustainability analysis (Annex II), Kenya remains at low risk of external debt distress, albeit with lower buffers than previously in view of the authorities' plans for further externally financed infrastructure projects and lower growth.[4]

[4] Kenya's risk of external debt distress remains low also under the adverse scenario.

These narrowing buffers highlight the need to follow through on the intended medium-term fiscal consolidation.

40. Successful implementation of the proposed program would improve prospects for exiting Fund arrangements. The program's fiscal and structural measures should underpin lower fiscal deficits, a convergence of the current account deficit with Kenya's medium-term norm, a strengthening of the monetary policy framework, and maintenance of a sufficient reserve buffer. The achievement of these milestones would translate into an increased resilience to external shocks, significantly reducing the likelihood of balance of payments need.

STAFF APPRAISAL

41. Kenya's economy has maintained robust growth momentum despite headwinds from global developments. Supported by higher public infrastructure spending, buoyant credit growth, and strong consumer demand, real GDP growth has picked up in 2015. Even so, the tapering of capital inflows and the April 2015 terrorist attack dampened growth, while also contributing to pressure on the exchange rate, reserves, and domestic fiscal financing.

42. Policy responses to shocks in 2015 were largely appropriate, taking into account the evolving nature of policy frameworks. On monetary policy, actions by the CBK contributed to stabilizing the foreign exchange market and maintaining financial stability. However, the significant increase in volatility of short-term interest rates has weakened the relevance of the CBR. With respect to fiscal policy, excise increases, spending cuts, and front-loading of external borrowing offset revenue shortfalls and helped stabilize the budgetary cash flow and international reserves. The authorities maintained adequate reserves and continued to treat the program as precautionary in the face of the significant shocks. Thanks to the authorities' determined actions, economic conditions have largely stabilized.

43. Although the macroeconomic outlook is positive overall, the economy remains vulnerable to shocks. Supported by continued improvements in the business environment, modernized and expanded transport and energy infrastructure, and regional integration, growth is projected to average 6.5 percent over the medium term. However, downside risks remain, reflecting growing integration in global markets that exposes Kenya to changing global liquidity conditions, and continued security threats that could adversely affect investor sentiment. Kenya also remains vulnerable to weather-related shocks. While efforts are underway to address vulnerabilities to these shocks, the payoff will take time, in a context of constrained fiscal space and lower international reserve buffers.

44. Fiscal consolidation is key to buttress macroeconomic stability. The authorities' commitment to reduce the fiscal deficit by 3 percentage points of GDP over the next two fiscal years—as part of a well-balanced policy mix—is crucial to alleviate current demand pressures, reduce financing risks, and to limit and eventually reverse the increase in public debt ratios. Staff supports the authorities' program aimed at creating fiscal space for high-priority infrastructure investments and greater provision of health and education services, which are essential ingredients of inclusive growth.

45. Public financial management reforms aimed at upgrading efficiency, transparency and accountability are essential for the credibility of the envisaged fiscal consolidation. The authorities' commitments to strengthen expenditure control and improve the efficiency of public spending are welcome and necessary to free fiscal space for priority social and investment projects and to improve governance in the public sector.

46. Strengthening the monetary policy transmission mechanism is an important priority to achieve the program's inflation target and make further progress in the transition to a modern forward-looking monetary policy framework. Staff welcomes the CBK's commitment to align gradually the interbank rates with the CBR and formally announce and implement an interest rate corridor. Near-term inflation risks should be closely monitored; and the interbank interest rate should be aligned faster to the CBR, and the policy rate raised, if upside risks to inflation materialize. A closer alignment of the interbank rate with the CBR may lead to somewhat higher exchange rate volatility. Also, the exchange rate should play the role of a shock absorber in case of external shocks. In this regard, the CBK's commitment to a floating exchange rate regime is encouraging.

47. Emerging risks to financial stability need to be addressed expeditiously. The authorities' recent decisive actions—intervening two smaller banks and swiftly injecting liquidity to a group of small banks—to preserve financial stability are appropriate. The envisaged steps to further strengthen prudential regulation and supervision—including strengthening micro and macro prudential stress testing and the capital adequacy assessment framework, and developing a legal and operational crisis management system—will increase the authorities' capacity to monitor and address credit and liquidity risks, as well as risks associated with potential shocks to interest and exchange rates in light of heightened instability in global markets. Furthermore, the reconstitution of a quorate CBK Board is an important priority and should be finalized in a timely manner.

48. Further improvement in macroeconomic statistics is required to enhance the quality of policies and promote transparency. Publication of timely GFS-compliant estimates for the national government and the Foreign Investment Survey through 2013 are welcome steps to improve fiscal and external sector data. The planned improvement of the coverage and timeliness of fiscal and external sector data will promote transparency and evidence-based policy making.

49. The business climate needs to be further strengthened to support inclusive growth. Recent efforts to enhance the business climate, reflected in the World Bank latest assessment, are welcome. The improved legal framework for doing business, thanks to the recent approvals of the Companies and Insolvency Acts, will enhance flexibility in the business environment, helping companies to adapt more easily to changing circumstances.

50. The staff recommends completion of the second reviews under the current SBA and SCF and supports the authorities' request for the new 24-month SBA and SCF and the cancellation of the existing arrangements. The economic program supported by the current and prospective precautionary SBA and SCF targets a significant reduction in vulnerabilities, paving the way for an eventual exit from Fund arrangements. The policies envisaged by the authorities would maintain a sustainable debt position, while preserving fiscal space to address bottlenecks and vulnerabilities, thereby enhancing growth prospects and accelerating poverty reduction.

Proposed Decisions

The following decisions, which may be adopted by a majority of the votes cast, are proposed for adoption by the Executive Board. Decision 2 is proposed for adoption only in the event that Decision 1 is adopted by the Executive Board. Decision 4 is proposed for adoption only in the event that Decision 3 is adopted by the Executive Board.

Decision 1: Kenya—Second Review under the 2015 Stand-By Arrangement

1. Kenya has consulted with the Fund in accordance with paragraph 3(c) of the Stand-By Arrangement for Kenya (EBS/15/1, 1/20/2015, the "Stand-by Arrangement") in order to review program implementation.
2. The letter dated February 29, 2016 from the Cabinet Secretary of the National Treasury and the Governor of the Central Bank of Kenya (the "February 2016 Letter"), together with its Memorandum of Economic and Financial Policies (the "February 2016 MEFP") and the Technical Memorandum of Understanding (the "February 2016 TMU"), shall be attached to the Stand-by Arrangement and the letter dated January 16, 2015 from the Cabinet Secretary of the National Treasury and the Governor of the Central Bank of Kenya, together with its attachments, as supplemented and modified, shall be read as supplemented and modified by the February 2016 Letter and its attachments.
3. The Fund decides that the second review contemplated in paragraph 3(c) of the Stand-by Arrangement is completed, and that Kenya may make purchases under the Stand-by Arrangement.
4. This Decision shall become effective only upon the adoption of Decision No. [Decision 2 below] by the Executive Board.

Decision 2: Kenya—Second Review under the 2015 Standby Credit Facility Arrangement

1. Kenya has consulted with the Fund in accordance with paragraph 3(b) of the arrangement of Kenya under the Standby Credit Facility (EBS/15/1, 1/20/2015, (the "SCF Arrangement") in order to review program implementation.
2. The letter dated February 26, 2016 from the Cabinet Secretary of the National Treasury and the Governor of the Central Bank of Kenya (the "February 2016 Letter"), together with its

Memorandum of Economic and Financial Policies (the "February 2016 MEFP") and the Technical Memorandum of Understanding (the "February 2016 TMU"), shall be attached to the SCF Arrangement and the letter dated January 16, 2015 from the Cabinet Secretary of the National Treasury and the Governor of the Central Bank of Kenya, together with its attachments, as supplemented and modified, shall be read as supplemented and modified by the February 2016 Letter and its attachments.

3. The Fund decides that the second review contemplated in paragraph 3(b) of the SCF Arrangement for Kenya is completed, and that Kenya may request the disbursement of the third loan referred to in paragraph 2(c) of the SCF Arrangement.

Decision 3: Kenya—Cancellation of 2015 SBA and Approval of a New Stand-By Arrangement

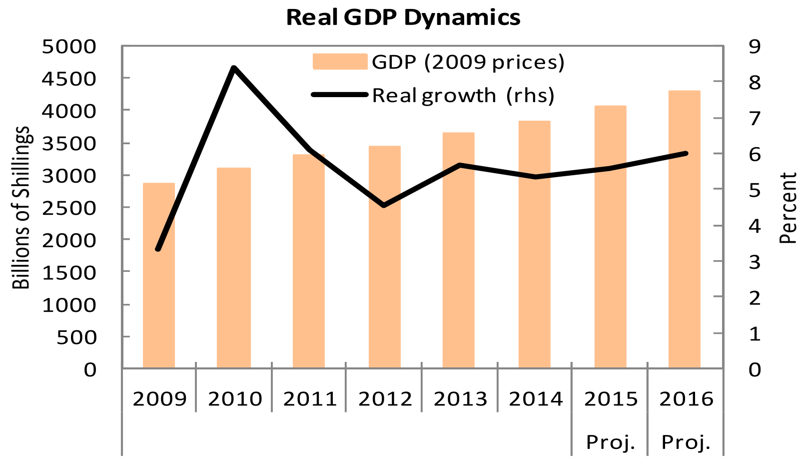
1. The Fund notes Kenya's cancellation of the Stand-By Arrangement set forth in EBS/15/1 (1/20/2015), effective immediately following the completion of the second review under that arrangement.
2. Kenya has requested a Stand-By Arrangement in an amount equivalent to SDR 709.259 million for a period of twenty four (24) months from the effective date of this decision.
3. The Fund approves the Stand-By Arrangement for Kenya set forth in EBS/16/11 and decides that purchases may be made under the arrangement.
4. This Decision shall become effective only upon the adoption of Decision No. [Decision 4 below] by the Executive Board.

Decision 4: Kenya—Cancellation of the 2015 SCF Arrangement and Approval of a New Standby Credit Facility Arrangement

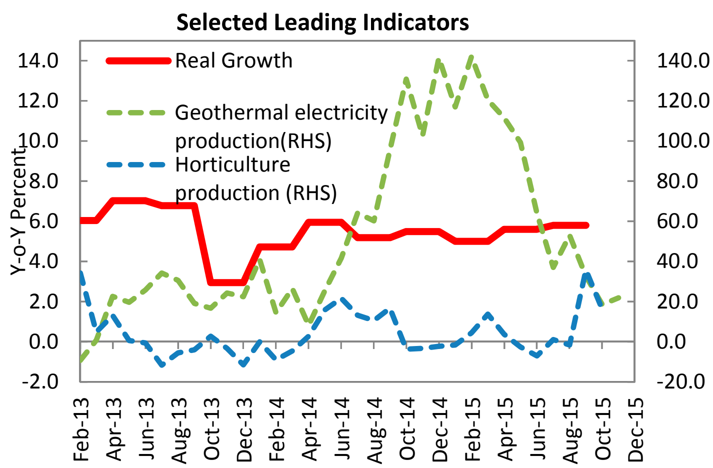
1. The Fund notes Kenya's cancellation of the SCF Arrangement set forth in EBS/15/1 (1/20/2015), effective immediately following the completion of the second review under that arrangement.
2. Kenya has requested an arrangement under the Standby Credit Facility (SCF) for a period of twenty four (24) months in an amount equivalent to SDR 354.629 million.
3. The Fund approves the SCF arrangement for Kenya set forth in EBS/16/11 and decides that Kenya may request the first disbursement under the arrangement.

Figure 1. Kenya: Real Sector

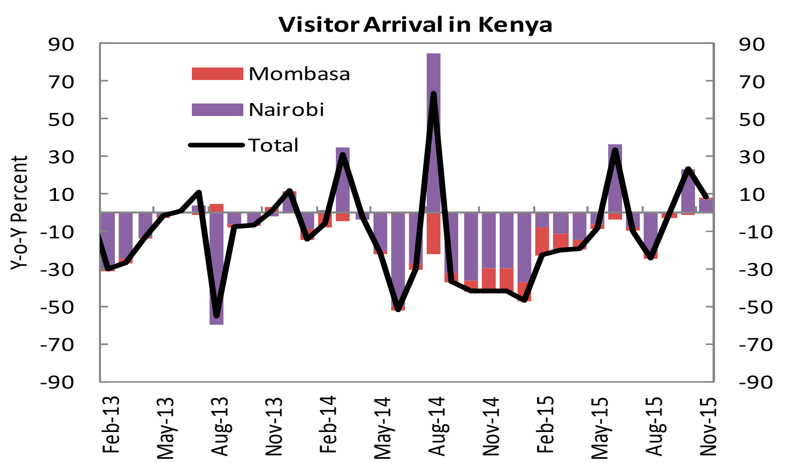
Growth has been robust....



... and high frequency indicators suggest persistent momentum...



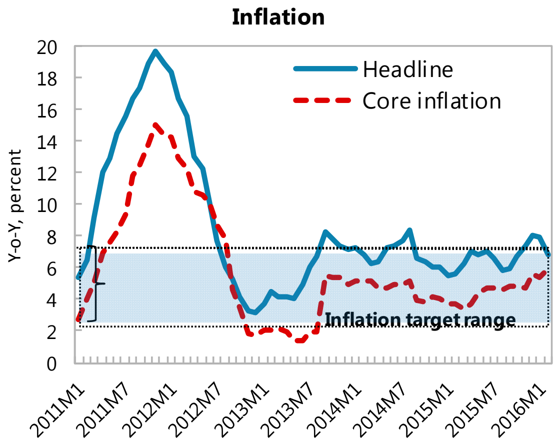
... and visitor arrivals show signs of recovery.



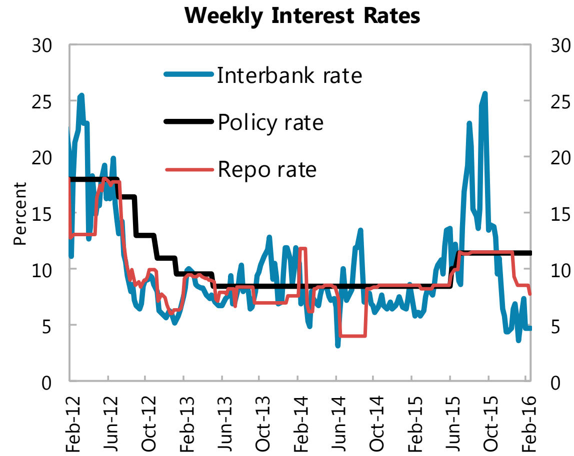
Sources: Kenyan authorities; and IMF staff estimates.

Figure 2. Kenya: Monetary Sector

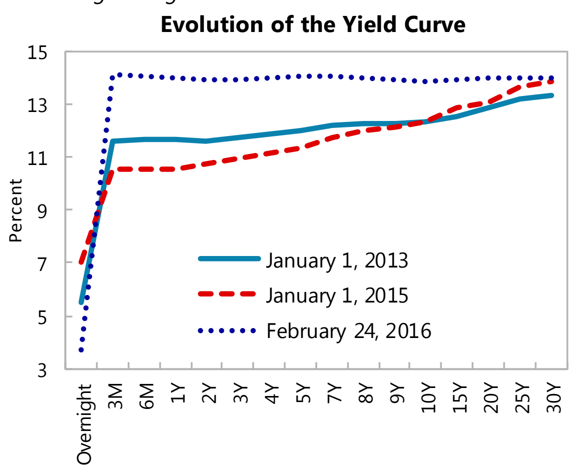
Inflation remains elevated.



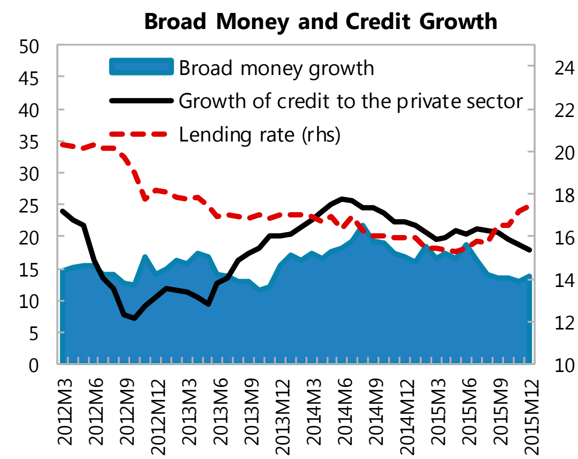
Nonetheless, interbank interest rate deviations from the policy rate persist.



The yields have risen following recent tightening...

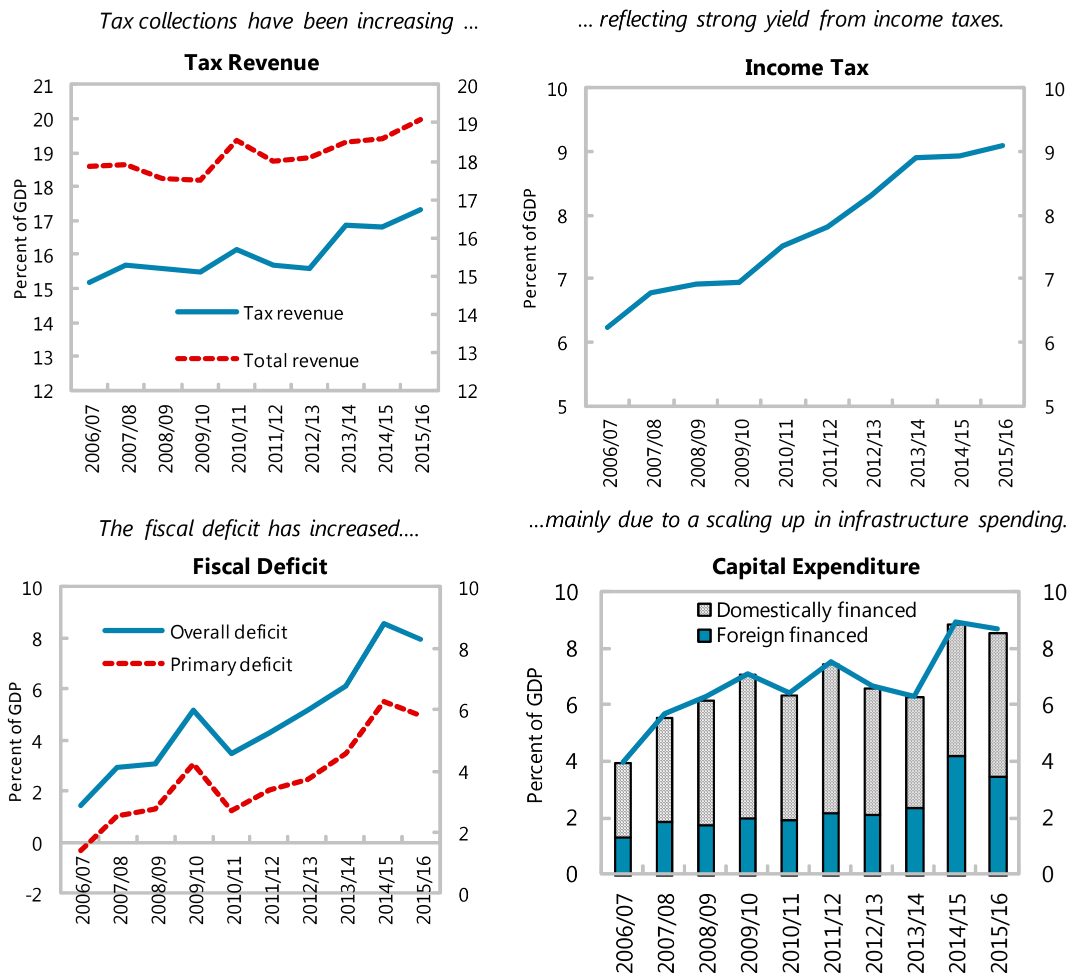


... while credit growth has moderated.



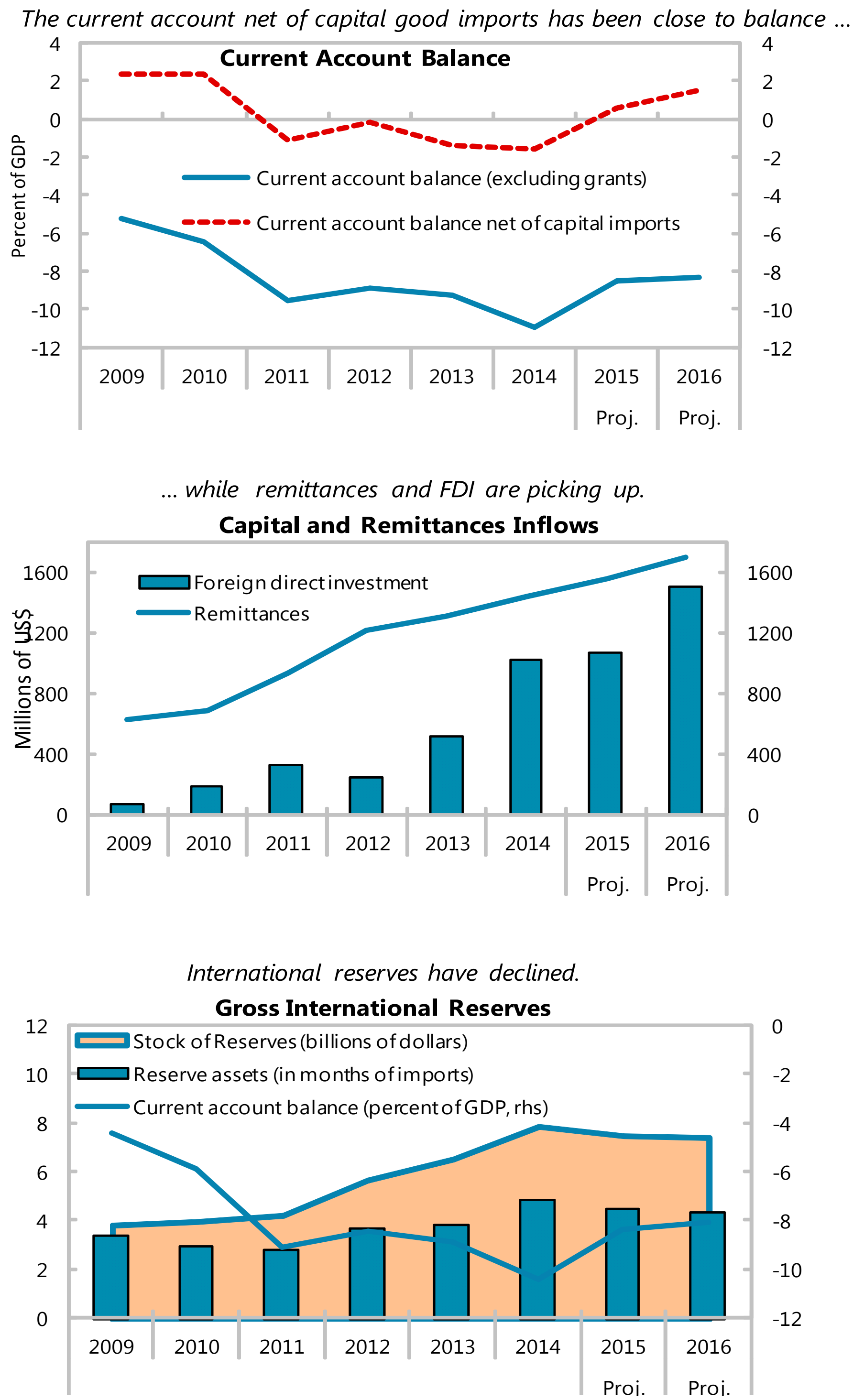
Source: Bloomberg; Kenyan authorities and IMF staff estimates.

Figure 3. Kenya: Fiscal Operations



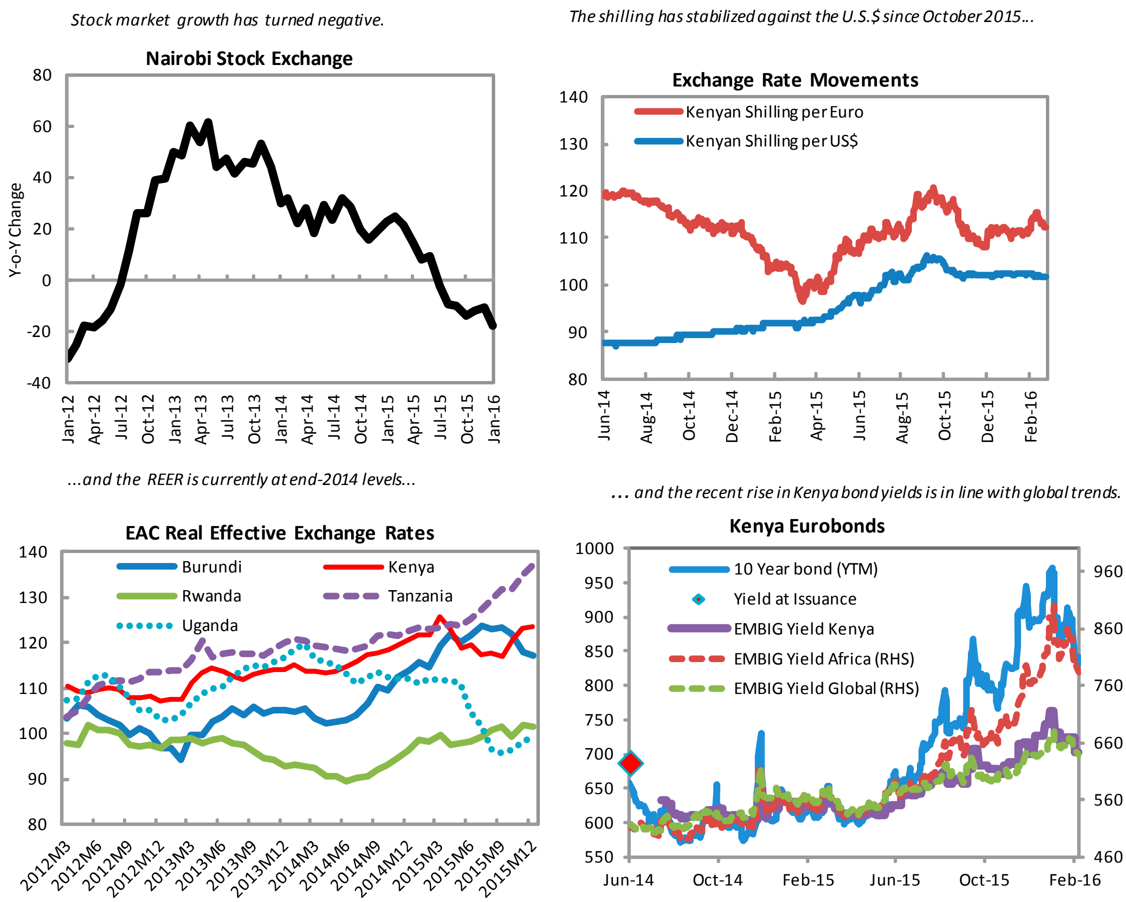
Source: Kenyan authorities and IMF staff estimates.

Figure 4. Kenya: External Sector



Source: Kenyan authorities and IMF staff estimates.

Figure 5. Kenya: Financial Sector Developments



Source: Bloomberg; IMF staff estimates.

`Table 1a. Kenya: Selected Economic Indicators, 2013/14–2018/19[1]

	2013/14	2014/15	2015/16		2016/17	2017/18	2018/19
	Act.	Est.	First rev.	Proj.		Proj.	
	(Annual percentage change, unless otherwise indicated)						
Output, prices, and exchange rate							
Real GDP	5.5	5.5	6.7	5.8	6.1	6.3	6.5
GDP deflator	6.3	7.2	6.5	6.8	6.2	5.6	5.4
CPI (period average)	7.1	6.6	6.3	6.9	6.0	5.4	5.0
CPI (end of period)	7.4	7.0	6.0	6.3	5.7	5.0	5.0
Core inflation (period average) [2]	4.7	4.4	5.6	5.8	5.7	5.1	5.0
Exports volume	-1.4	4.9	5.6	1.9	3.1	7.1	8.2
Imports volume	4.2	7.8	9.6	9.3	4.5	2.8	6.0
Exchange rate (Kenyan shilling/US$)	87.2	92.7	.	.	.	.	.
Real effective exchange rate (depreciation, -)	3.4	5.6	.	.	.	.	.
Money and credit							
Broad money (M3)	18.2	18.6	17.2	14.6	14.2	.	.
Reserve money	12.6	14.9	15.8	13.1	14.5	.	.
Credit to non-government sector	25.7	20.5	14.5	15.3	17.2	.	.
Policy rate	8.5	10.0	.	.	.	.	.
M3/GDP (percent)	42.7	44.8	44.1	45.4	46.0	.	.
NPLs (percent of total gross loans)	5.8	5.7	.	.	.	.	.
	(Percent of GDP, unless otherwise indicated)						
Central government budget							
Total revenue and grants	19.9	19.9	21.1	20.4	20.7	20.8	21.0
Tax revenues	16.9	16.8	18.0	17.3	17.6	17.7	17.9
Non-tax revenues	2.4	2.6	2.7	2.6	2.7	2.7	2.8
Grants	0.5	0.5	0.4	0.4	0.4	0.4	0.4
Expenditure	25.7	28.8	29.1	28.4	27.4	26.5	25.4
Current	19.4	19.8	19.7	19.7	19.2	18.7	18.0
Capital	6.3	8.9	9.3	8.6	8.2	7.7	7.3
Unidentified measures	0.0	0.0	0.0	0.0	0.3	0.7	0.7
Primary balance	-3.5	-5.6	-5.2	-5.0	-3.4	-2.0	-0.7
Excluding SGR (phase 1) related spending	-3.5	-5.6	-3.4	-3.0	-1.8	-0.7	-0.7
Overall balance	-5.9	-8.6	-8.0	-8.0	-6.5	-5.0	-3.7
Excluding SGR (phase 1) related spending	-5.9	-8.6	-6.2	-6.1	-4.9	-3.7	-3.7
Excluding grants	-6.4	-9.1	-8.4	-8.4	-6.9	-5.4	-4.0
Net domestic borrowing	1.2	4.4	3.5	3.0	2.6	2.5	2.4
Public debt [3]							
Public gross nominal debt	47.1	49.1	53.1	52.1	54.2	54.6	53.3
Public net nominal debt	43.1	44.8	51.0	50.0	52.2	52.6	51.4
of which : external public debt	21.7	24.2	27.1	28.8	30.7	30.9	29.7
Public gross debt, PV	44.8	44.4	48.3	47.0	48.4	48.5	48.2
Public net debt, PV	40.7	40.1	46.2	45.0	46.4	46.5	46.3
Gross domestic debt	25.5	24.9	26.1	23.3	23.5	23.7	23.7
Investment and saving							
Investment	20.8	23.5	25.3	23.7	23.9	23.6	23.3
General government	7.0	9.7	10.5	9.8	9.7	9.4	9.1
Nongovernment	13.8	13.7	14.8	13.9	14.2	14.2	14.2
Saving	11.9	14.3	14.6	14.4	16.5	17.0	16.7
General government	1.7	1.0	2.6	1.9	2.8	3.9	4.7
Nongovernment	10.2	13.3	12.0	12.5	13.7	13.1	12.0
External sector							
Exports (goods and services)	19.0	17.9	18.2	18.0	17.7	17.9	18.1
Imports (goods and services)	33.0	32.4	33.9	32.6	30.4	30.0	30.1
Current account balance (including grants)	-8.9	-9.2	-10.7	-9.3	-7.3	-6.6	-6.6
Gross international reserves							
In billions of US$	8.6	7.2	7.3	7.6	8.0	8.5	9.1
In months of next year imports	5.2	4.2	3.8	4.5	4.5	4.4	4.3
Memorandum items:							
GDP at current market prices							
Billion of Kenyan shillings	5,044	5,703	6,502	6,444	7,259	8,149	9,149
US$ billion	57.9	61.2	66.1	63.0	66.8	71.9	78.0
GDP per capita (nominal US$)	1,366	1,403	1,479	1,404	1,447	1,516	1,599

Sources: Kenyan authorities and IMF staff estimates and projections.
[1] Fiscal years are from July 1 to June 30.
[2] Excluding food and fuel.
[3] Excludes guaranteed debt and other contingent liabilities.

Table 1b. Kenya: Selected Economic Indicators, 2014–2019

	2014	2015		2016		2017	2018	2019
	Act.	First rev	Proj.	First rev.	Proj.		Proj.	
				(Annual percentage change, unless otherwise indicated)				
Output, prices, and exchange rate								
Real GDP	5.3	6.5	5.6	6.8	6.0	6.1	6.5	6.5
GDP deflator	7.5	6.7	6.9	6.3	6.7	5.8	5.4	5.5
CPI (period average)	6.9	6.4	6.6	5.9	6.6	5.7	5.1	5.0
CPI (end of period)	6.0	6.4	8.0	5.3	5.8	5.5	5.0	5.0
Core inflation (period average) [1]	4.7	3.1	4.4	5.6	5.8	5.7	5.1	5.0
Exports volume	5.8	7.1	4.1	4.1	-0.2	6.5	7.7	8.8
Imports volume	6.5	12.9	9.0	6.1	9.7	-0.1	5.7	6.3
Exchange rate (Kenyan shilling/US$)	87.9	.	98.5	.	.	.	.	.
Real effective exchange rate (depreciation, -)	3.4	.	4.0	.	.	.	.	.
Money and credit								
Broad money (M3)	16.7	15.7	13.7	15.7	17.4	.	.	.
Reserve money	18.4	13.7	3.4	13.5	13.6	.	.	.
Credit to non-government sector	22.2	13.3	18.0	14.0	16.3	.	.	.
Policy rate	8.5	.	11.5	.	.	.	.	.
M3/GDP (percent)	43.5	44.3	43.8	45.1	45.5	.	.	.
NPLs (percent of total gross loans)	5.4	.	6.1	.	.	.	.	.
				(Percent of GDP, unless otherwise indicated)				
Central government budget								
Total revenue and grants	19.9	20.3	20.1	21.3	20.5	20.7	20.9	21.0
Tax revenues	16.8	17.4	17.1	18.2	17.4	17.6	17.8	17.9
Non-tax revenues	2.5	2.4	2.6	2.7	2.7	2.7	2.7	2.8
Grants	0.5	0.5	0.5	0.4	0.4	0.4	0.4	0.4
Expenditure	27.2	28.5	28.6	28.7	27.9	26.9	25.9	25.2
Current	19.6	19.3	19.8	19.4	19.5	19.0	18.4	17.9
Capital	7.6	9.1	8.7	9.2	8.4	7.9	7.5	7.3
Unidentified measures	0.0	0.0	0.0	0.0	0.1	0.5	0.7	0.6
Primary balance	-4.5	-5.4	-5.3	-4.4	-4.2	-2.7	-1.3	-1.0
Excluding SGR (phase 1) related spending	-4.5	-3.4	-4.3	-2.9	-2.4	-2.1	-1.0	-0.8
Overall balance	-7.2	-8.2	-8.3	-7.1	-7.2	-5.7	-4.3	-3.8
Excluding SGR (phase 1) related spending	-7.2	-6.2	-7.3	-5.6	-5.5	-5.2	-3.9	-3.7
Excluding grants	-7.7	-8.7	-8.7	-7.5	-7.7	-6.1	-4.7	-4.2
Net domestic borrowing	2.8	3.9	3.7	3.1	2.8	2.6	2.5	2.1
Public debt [2]								
Public gross nominal debt	48.1	52.2	50.6	53.4	53.1	54.4	54.0	52.8
Public net nominal debt	44.0	49.5	47.4	51.3	51.1	52.4	52.0	50.8
of which : external public debt	22.9	25.9	26.5	27.4	29.7	30.8	30.3	29.3
Public gross debt, PV	42.9	47.7	45.8	48.0	48.3	48.5	48.5	47.9
Public net debt, PV	40.4	45.0	42.6	45.9	45.7	46.5	46.6	46.0
Gross domestic debt	25.2	26.3	24.1	26.0	23.4	23.6	23.7	23.4
Investment and saving								
Investment	22.2	24.9	23.6	25.5	23.8	23.8	23.5	23.4
General government	8.5	10.2	9.8	10.6	9.8	9.6	9.3	9.1
Nongovernment	13.7	14.7	13.8	15.0	14.1	14.2	14.2	14.2
Saving	11.8	15.1	15.4	15.9	15.8	17.1	16.9	16.8
General government	1.4	2.1	1.5	3.4	2.4	3.4	4.3	4.8
Nongovernment	10.4	13.0	13.9	12.4	13.4	13.7	12.6	12.0
External sector								
Exports (goods and services)	18.2	18.3	18.3	17.9	17.6	17.8	18.0	18.2
Imports (goods and services)	-33.7	-33.4	-31.9	-32.8	-31.0	-29.9	-30.0	-30.1
Current account balance (including grants)	-10.4	-9.8	-8.2	-9.7	-8.0	-6.7	-6.6	-6.6
Gross international reserves								
In billions of US$	7.9	7.5	7.5	7.6	7.8	8.3	9.0	9.7
In months of next year imports	4.8	4.0	4.5	3.9	4.5	4.5	4.4	4.4
Memorandum items:								
GDP at current market prices								
Billion of Kenyan shillings	5,358	6,088	6,048	6,915	6,839	7,680	8,619	9,678
US$ billion	60.9	63.3	61.4	68.9	64.6	69.0	74.8	81.1
GDP per capita (nominal US$)	1,417	1,436	1,388	1,522	1,420	1,475	1,556	1,642

Sources: Kenyan authorities and IMF staff estimates and projections.

[1] Excluding food and fuel.

[2] Excludes guaranteed debt and other contingent liabilities.

Table 2a. Kenya: Central Government Financial Operations 2013/14–2019/20[1]

	2013/14	2014/15	2015/16	2016/17	2017/18	2018/19	2019/20
	Act.	Prelim.	Proj.	Proj.	Proj.	Proj.	Proj.
	(in billions of Kenyan Shillings, unless otherwise indicated)						
Revenues and grants	**1,001.4**	**1,133.8**	**1,313.2**	**1,499.5**	**1,697.4**	**1,921.0**	**2,164.7**
Revenue	**974.4**	**1,106.4**	**1,285.6**	**1,469.8**	**1,665.0**	**1,886.7**	**2,127.0**
Tax revenue	851.8	958.2	1,115.9	1,275.8	1,443.5	1,634.0	1,842.2
Income tax	449.6	508.6	585.6	666.1	755.2	856.3	970.3
Import duty (net)	67.6	74.0	86.4	97.1	108.3	119.7	132.9
Excise duty	102.0	115.9	143.6	171.7	194.0	219.6	248.6
Value-added tax	232.6	259.7	300.3	341.0	386.0	438.5	490.4
Nontax revenue	122.6	148.2	169.8	194.0	221.5	252.7	284.8
Investment income	10.2	13.5	21.1	23.8	26.7	30.0	33.7
Other	57.0	59.6	70.1	79.8	90.5	103.1	117.4
Ministerial and Departmental Fees (AIA)	35.7	56.7	58.5	65.9	74.0	83.1	93.2
Railway Levy	19.7	18.4	20.0	24.5	30.3	36.5	40.5
Grants	**27.0**	**27.4**	**27.6**	**29.7**	**32.4**	**34.3**	**37.8**
Project grants	21.7	22.3	19.9	22.4	25.1	28.2	31.7
Program grants	4.7	3.8	6.4	6.1	6.1	6.1	6.1
Expenditure and net lending	**1,297.8**	**1,640.3**	**1,828.2**	**1,991.2**	**2,156.2**	**2,319.9**	**2,577.8**
Recurrent expenditure	**978.4**	**1,126.3**	**1,256.6**	**1,383.2**	**1,514.2**	**1,632.5**	**1,808.1**
Transfer to counties	169.4	229.3	264.2	284.8	302.3	323.4	362.3
Interest payments	132.0	172.9	195.8	223.4	246.2	267.3	288.7
Domestic interest	119.2	139.6	153.8	166.9	178.1	187.4	197.5
Foreign interest due	12.8	33.3	42.0	56.6	68.1	79.9	91.2
Wages and benefits (civil service)	281.2	298.0	333.5	360.8	396.9	436.5	493.5
Pensions, etc.	30.2	38.2	47.4	56.1	64.0	70.4	84.6
Defense and NSIS	93.8	93.7	112.5	117.2	126.7	133.1	149.4
Other	248.0	293.1	302.2	339.3	359.4	382.9	429.6
of which: Social Spending	--	53.3	67.8	81.0	98.2	107.2	130.1
Development and net lending	**319.3**	**508.6**	**558.6**	**596.2**	**629.3**	**674.8**	**756.9**
Domestically financed	198.5	266.0	326.9	349.3	408.6	460.9	511.0
Foreign financed	118.6	240.4	224.5	244.4	217.9	210.7	242.4
of which: SGR (phase 1) project	0.0	123.5	118.2	101.6	0.0	0.0	0.0
Net lending	2.2	2.1	7.2	2.5	2.8	3.1	3.5
Overall balance excluding measures (cash basis, including	**-309.1**	**-489.6**	**-515.0**	**-491.7**	**-458.8**	**-398.9**	**-413.0**
Adjustments to cash basis	**-12.7**	**16.9**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**
Unidentified measures (deficit reducing)	**0.0**	**0.0**	**0.0**	**20.5**	**53.3**	**63.6**	**53.3**
Overall balance (cash basis, including grants)	**-309.1**	**-489.6**	**-515.0**	**-471.3**	**-405.5**	**-335.3**	**-359.7**
Overall balance excluding SGR (phase 1) related expenditu	**-309.1**	**-366.1**	**-396.8**	**-369.6**	**-405.5**	**-335.3**	**-359.7**
Statistical discrepency	**0.0**	**19.1**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**
Financing	**309.1**	**470.5**	**515.0**	**471.3**	**405.5**	**335.3**	**359.7**
Net foreign financing	247.1	216.4	309.3	278.5	198.9	115.3	167.0
Disbursements	272.9	296.6	352.3	330.1	346.0	270.8	240.7
Project loans	96.9	94.7	86.4	120.4	192.7	182.5	210.8
Program loans	0.0	3.5	8.2	0.0	0.0	0.0	0.0
Commercial borrowing [2]	176.0	75.0	139.5	108.1	153.3	88.3	30.0
Standard Gauge Railway (phase 1) loan from China	0.0	123.5	118.2	101.6	0.0	0.0	0.0
Repayments due	-25.8	-80.2	-43.0	-51.7	-147.1	-155.5	-73.7
Change in arrears	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Net domestic financing	62.0	254.1	205.7	192.8	206.6	220.0	192.7
Memorandum items:							
Nominal GDP	5,044.2	5,702.7	6,443.5	7,259.4	8,149.5	9,148.6	10,264.8
Primary balance incl. grants	-177.2	-316.6	-319.2	-247.8	-159.3	-68.0	-71.0
Primary balance excluding SGR (phase 1) expenditure (incl. gr	-177.2	-193.2	-201.0	-146.2	-159.3	-68.0	-71.0
Cyclically adjusted Primary balance incl. grants	-178.1	-315.6	-317.4	-246.2	-158.5	-68.6	-72.1
Total gross public debt, gross	2,377.6	2,799.8	3,356.8	3,933.4	4,448.0	4,879.5	5,356.1
of which: external debt [3]	1,093.3	1,379.4	1,853.6	2,226.2	2,517.9	2,714.3	2,979.4
of which: domestic debt	1,284.3	1,420.4	1,503.2	1,707.2	1,930.1	2,165.1	2,376.7
Total net public debt [4]	2,172.1	2,557.5	3,223.2	3,787.8	4,286.4	4,703.7	5,161.5
Government deposits	205.5	242.3	133.6	145.6	161.5	175.8	194.6

Sources: Kenyan authorities and IMF staff estimates and projections.

[1] Fiscal year runs from July to June.

[2] Includes proceeds from (i) syndicated loans and (ii) planned sovereign bonds.

[3] External debt excludes guarantees.

[4] Total net debt in 2013/14 includes proceeds from US$2.0bn Eurobond.

Table 2b. Kenya: Central Government Financial Operations 2013/14–2019/20[1]

	2013/14	2014/15	2015/16	2016/17	2017/18	2018/19	2019/20
	Act.	Prelim.	Proj.	Proj.	Proj.	Proj.	Proj.
	(in percent of GDP, unless otherwise indicated)						
Revenues and grants	**19.9**	**19.9**	**20.4**	**20.7**	**20.8**	**21.0**	**21.1**
Revenue	**19.3**	**19.4**	**20.0**	**20.2**	**20.4**	**20.6**	**20.7**
Tax revenue	16.9	16.8	17.3	17.6	17.7	17.9	17.9
Income tax	8.9	8.9	9.1	9.2	9.3	9.4	9.5
Import duty (net)	1.3	1.3	1.3	1.3	1.3	1.3	1.3
Excise duty	2.0	2.0	2.2	2.4	2.4	2.4	2.4
Value-added tax	4.6	4.6	4.7	4.7	4.7	4.8	4.8
Nontax revenue	2.4	2.6	2.6	2.7	2.7	2.8	2.8
Investment income	0.2	0.2	0.3	0.3	0.3	0.3	0.3
Other	1.1	1.0	1.1	1.1	1.1	1.1	1.1
Ministerial and Departmental Fees (AIA)	0.7	1.0	0.9	0.9	0.9	0.9	0.9
Railway Levy	0.4	0.3	0.3	0.3	0.4	0.4	0.4
Grants	**0.5**	**0.5**	**0.4**	**0.4**	**0.4**	**0.4**	**0.4**
Project grants	0.4	0.4	0.3	0.3	0.3	0.3	0.3
Program grants	0.1	0.1	0.1	0.1	0.1	0.1	0.1
Expenditure and net lending	**25.7**	**28.8**	**28.4**	**27.4**	**26.5**	**25.4**	**25.1**
Recurrent expenditure	**19.4**	**19.8**	**19.5**	**19.1**	**18.6**	**17.8**	**17.6**
Transfer to counties	3.4	4.0	4.1	3.9	3.7	3.5	3.5
Interest payments	2.6	3.0	3.0	3.1	3.0	2.9	2.8
Domestic interest	2.4	2.4	2.4	2.3	2.2	2.0	1.9
Foreign interest due	0.3	0.6	0.7	0.8	0.8	0.9	0.9
Wages and benefits (civil service)	5.6	5.2	5.2	5.0	4.9	4.8	4.8
Pensions, etc.	0.6	0.7	0.7	0.8	0.8	0.8	0.8
Defense and NSIS	1.9	1.6	1.7	1.6	1.6	1.5	1.5
Other	4.9	5.1	4.69	4.7	4.4	4.2	4.2
of which: Social Spending	--	0.9	1.1	1.1	1.2	1.2	1.3
Development and net lending	**6.3**	**8.9**	**8.7**	**8.2**	**7.7**	**7.4**	**7.4**
Domestically financed	3.9	4.7	5.1	4.8	5.0	5.0	5.0
Foreign financed	2.4	4.2	3.5	3.4	2.7	2.3	2.4
of which: SGR (phase 1) project	0.0	2.2	1.8	1.4	0.0	0.0	0.0
Net lending	0.0	0.0	0.1	0.0	0.0	0.0	0.0
Overall balance excluding measures (cash basis, including	**-6.1**	**-8.6**	**-8.0**	**-6.8**	**-5.6**	**-4.4**	**-4.0**
Unidentified measures (deficit reducing)	**0.0**	**0.0**	**0.0**	**0.3**	**0.7**	**0.7**	**0.5**
Overall balance (cash basis, including grants)	**-6.1**	**-8.6**	**-8.0**	**-6.5**	**-5.0**	**-3.7**	**-3.5**
Overall balance excluding SGR (phase 1) related expenditu	**-6.1**	**-6.4**	**-6.2**	**-5.1**	**-5.0**	**-3.7**	**-3.5**
Statistical discrepency	**0.0**	**0.3**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**
Financing	**6.1**	**8.2**	**8.0**	**6.5**	**5.0**	**3.7**	**3.5**
Net foreign financing	4.9	3.8	4.8	3.8	2.4	1.3	1.6
Disbursements	5.4	5.2	5.5	4.5	4.2	3.0	2.3
Project loans	1.9	1.7	1.3	1.7	2.4	2.0	2.1
Program loans	0.0	0.1	0.1	0.0	0.0	0.0	0.0
Commercial borrowing [2]	3.5	1.3	2.2	1.5	1.9	1.0	0.3
Standard Gauge Railway (phase 1) loan from China	0.0	2.2	1.8	1.4	0.0	0.0	0.0
Repayments due	-0.5	-1.4	-0.7	-0.7	-1.8	-1.7	-0.7
Change in arrears	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Net domestic financing	1.2	4.5	3.2	2.7	2.5	2.4	1.9
Memorandum items:							
Primary balance incl. grants (Central government)	-3.5	-5.6	-5.0	-3.4	-2.0	-0.7	-0.7
Primary balance excluding SGR (phase 1) expenditure (incl. gra	-3.5	-3.4	-3.1	-2.0	-2.0	-0.7	-0.7
Cyclically adjusted Primary balance incl. grants (in percent of	-3.5	-5.5	-4.9	-3.4	-1.9	-0.7	-0.7
Total gross public debt, gross	47.1	49.1	52.1	54.2	54.6	53.3	52.2
of which: external debt [3]	21.7	24.2	28.8	30.7	30.9	29.7	29.0
of which: domestic debt	25.5	24.9	23.3	23.5	23.7	23.7	23.2
Total gross public debt, PV	44.8	44.4	47.0	48.4	48.5	48.2	47.5
Total net public debt [4]	43.1	44.8	50.0	52.2	52.6	51.4	50.3
Government deposits (in months of domestically financed expen	2.1	2.1	1.0	1.0	1.0	1.0	1.0

Sources: Kenyan authorities and IMF staff estimates and projections.

[1] Fiscal year runs from July to June.

[2] Includes proceeds from (i) syndicated loans and (ii) planned sovereign bonds.

[3] External debt excludes guarantees.

[4] Total net debt in 2013/14 includes proceeds from US$2.0bn Eurobond.

Table 3. Kenya: Monetary Survey June 2014–December 2016

	Jun-14	Dec-14	Jun-15	Sep-15		Dec-15		Mar-16	Jun-16	Sep-16	Dec-16
	Act.	Act.	Prelim.	First Rev.	Prelim.	First Rev.	Prelim.	Proj.			
	(In billions of Kenyan shillings, unless otherwise indicated)										
Central Bank of Kenya (CBK)											
Net foreign assets	615	589	565	538	529	598	621	663	671	667	716
(in millions of US dollars) [1 2]	7,023	6,506	5,730	5,449	5,027	6,061	5,901	6,299	6,375	6,337	6,798
Net domestic assets	-292	-209	-193	-160	-153	-166	-229	-272	-251	-240	-270
Net domestic credit	-176	-98	-53	-22	16	-29	-73	-96	-79	-48	-79
Government (net)	-176	-92	-23	-52	47	-70	-52	0	16	16	16
Commercial banks (net)	0	-6	-30	27	-31	39	-22	-99	-98	-67	-97
Other items (net)	-116	-111	-140	-137	-168	-137	-156	-176	-171	-191	-191
Reserve money	324	380	372	378	377	432	392	391	421	428	446
Currency outside banks	158	173	175	175	175	209	191	159	179	176	189
Bank reserves	166	206	197	203	202	223	201	232	241	252	257
Banks											
Net foreign assets	-86	-109	-130	-96	-140	-99	-130	-133	-135	-138	-140
(in millions of US dollars)	-981	-1,206	-1,314	-977	-1,329	-1,002	-1,234	-1,259	-1,284	-1,309	-1,334
Reserves	166	206	197	203	202	223	201	232	241	252	257
Credit to CBK	0	6	30	-27	31	-39	22	99	98	67	97
Net domestic assets	1,882	2,027	2,250	2,307	2,263	2,388	2,336	2,380	2,477	2,620	2,639
Net domestic credit	2,215	2,401	2,658	2,689	2,735	2,769	2,834	2,913	3,027	3,190	3,240
Government (net)	459	471	545	600	507	595	568	603	596	627	610
Other public sector	40	48	45	44	48	44	46	46	46	46	46
Private sector	1,716	1,881	2,069	2,045	2,180	2,131	2,220	2,264	2,386	2,516	2,583
Other items (net)	-334	-374	-409	-382	-472	-382	-498	-533	-550	-570	-601
Total deposits	1,961	2,130	2,346	2,387	2,356	2,473	2,430	2,578	2,682	2,801	2,853
Monetary survey											
Net foreign assets	529	480	436	441	389	499	491	531	536	529	575
(in millions of US dollars)	6,042	5,300	4,415	4,473	3,698	5,060	4,668	5,040	5,091	5,028	5,464
Net domestic assets	1,623	1,850	2,117	2,160	2,167	2,196	2,159	2,281	2,389	2,526	2,536
Net domestic credit	2,042	2,311	2,638	2,640	2,784	2,702	2,785	2,915	3,046	3,208	3,259
Government (net)	283	379	522	548	553	525	516	603	612	643	626
Other public sector	40	48	45	44	48	44	46	46	46	46	46
Private	1,719	1,883	2,071	2,048	2,183	2,133	2,222	2,266	2,388	2,519	2,586
Other items (net)	-419	-461	-520	-480	-617	-506	-626	-634	-657	-683	-722
M1	913	936	1,001	1,055	980	1,093	1,016	1,078	1,121	1,171	1,193
Money and quasi-money (M2)	1,838	1,982	2,140	2,203	2,133	2,282	2,227	2,363	2,458	2,567	2,614
M2 plus resident foreign currency deposits (M3)	2,152	2,330	2,553	2,601	2,556	2,695	2,650	2,812	2,925	3,055	3,112
M3 plus nonbank holdings of government debt (L)	2,718	2,949	3,197	3,270	3,232	3,388	3,384	3,590	3,735	3,901	3,973
Memorandum items	(Annual percent change unless otherwise specified)										
M2	18.8	18.6	16.4	16.3	12.7	15.2	12.4	15.4	14.9	20.3	17.4
M3	18.2	16.7	18.6	15.5	13.5	15.7	13.7	17.2	14.6	19.5	17.4
Deposits	18.6	18.2	19.7	15.8	14.3	16.1	14.1	17.2	14.3	18.9	17.4
Reserve money	12.6	18.4	14.9	17.0	16.7	13.7	3.4	12.9	13.1	13.5	13.6
Net domestic credit	14.5	16.8	29.2	16.9	23.3	16.9	20.5	19.3	15.5	15.2	17.0
Government (net)	-25.4	-4.5	84.4	37.1	38.3	38.4	36.0	28.3	17.1	16.3	21.4
Private	25.7	22.2	20.5	13.3	20.8	13.3	18.0	17.5	15.3	15.4	16.4
Net domestic assets of the banking sector	11.2	15.0	30.5	19.6	20.0	18.7	16.7	17.8	12.8	16.6	17.5
NDA growth (as percent of the base period M3)	7.2	9.6	18.2	12.3	12.6	11.7	10.5	11.4	8.5	11.1	11.2
Multiplier (Average M2/RM)	5.5	5.6	5.7	5.7	5.6	5.7	5.7	5.8	5.8	5.9	5.9
Multiplier (Average M3/RM)	6.5	6.6	6.7	6.7	6.7	6.7	6.8	6.9	6.9	7.0	7.1
Velocity (GDP/M3)	2.5	2.4	2.4	2.4	2.4	2.4	2.4	2.4	2.4	2.3	2.3
Velocity (GDP/M2)	2.9	2.9	2.8	2.8	2.8	2.8	2.8	2.8	2.8	2.8	2.7
Nominal GDP growth	10.1	13.3	10.3	13.5	9.5	13.6	12.9	17.6	20.0	22.5	13.1

Sources: Kenyan authorities and IMF staff estimates and projections.

[1] For historical data, at implicit CBK exchange rate.

[2] Starting in June 2014, it includes government deposits abroad on account of the Eurobond issuance, as an asset and as a liability.

Table 4a. Kenya: Balance of Payments, 2014–19

(BPM6 presentation, in millions of U.S. dollars, unless otherwise indicated)[1]

	2014		2015 [2]		2016		2017	2018	2019
	First Rev.	Act.	First Rev.	Proj.	First Rev.	Proj.	Projections		
Current account	-6,339	-6,339	-6,188	-5,012	-6,652	-5,169	-4,597	-4,941	-5,350
Trade balance	-11,497	-11,436	-11,542	-10,314	-12,413	-10,853	-10,734	-11,616	-12,554
Goods: exports, f.o.b.	6,192	6,174	6,590	6,427	6,961	6,245	6,843	7,527	8,334
Coffee	232	232	186	209	181	152	166	184	204
Tea	1,069	1,069	1,295	1,220	1,484	1,372	1,497	1,640	1,804
Horticulture	808	808	771	787	852	749	846	917	1,011
Other	4,083	4,065	4,338	4,211	4,444	3,973	4,334	4,786	5,315
Goods: imports, f.o.b.	17,689	17,610	18,133	16,741	19,374	17,098	17,577	19,142	20,888
Oil products	3,854	3,753	2,992	2,419	2,922	1,716	2,084	2,438	2,738
Other	13,835	13,857	15,140	14,322	16,451	15,382	15,493	16,704	18,150
Capital imports	5,866	5,712	6,140	5,581	6,829	6,356	6,192	6,507	7,013
Services balance	2,062	2,002	2,006	1,968	2,164	2,183	2,415	2,622	2,882
Services, credit	4,917	4,935	5,025	4,795	5,361	5,115	5,463	5,910	6,429
Transportation	2,191	2,191	2,324	2,054	2,419	2,111	2,270	2,469	2,712
Travel	811	811	716	739	814	874	976	1,072	1,178
Services, debit	2,854	2,934	3,018	2,827	3,198	2,933	3,047	3,288	3,547
Goods and services balance	-9,434	-9,434	-9,536	-8,346	-10,250	-8,670	-8,318	-8,993	-9,673
Primary income, balance	-682	-682	-833	-778	-929	-850	-912	-912	-1,008
Credit	181	181	170	185	302	303	439	623	753
Debit	864	864	1,003	963	1,231	1,154	1,351	1,535	1,761
Secondary income, balance	3,777	3,777	4,180	4,112	4,527	4,351	4,633	4,964	5,330
Credit	3,980	3,980	4,235	4,170	4,585	4,414	4,701	5,036	5,406
Remittances	1,441	1,441	1,584	1,551	1,768	1,630	1,732	1,846	1,972
Debit	203	203	55	59	57	63	67	72	76
Capital account	24	24	234	208	210	209	212	230	249
Financial account	-6,971	-6,972	-5,582	-4,487	-7,004	-5,267	-5,071	-5,496	-5,966
Foreign direct investment	-1,023	-1,023	-1,220	-1,069	-1,561	-1,497	-1,534	-1,766	-1,905
Direct investment, assets	28	28	217	217	283	283	376	292	317
Direct investment, liabilities	1,051	1,051	1,437	1,285	1,844	1,780	1,909	2,058	2,222
Portfolio investment	-3,649	-3,649	-1,183	-434	-842	-1,842	-1,718	-1,815	-1,714
Portfolio investment, assets	55	55	58	56	63	59	59	58	57
Portfolio investment, liabilities	3,704	3,704	1,241	489	904	1,901	1,777	1,872	1,770
Equity and investment fund shares	954	954	486	484	904	900	1,033	1,272	1,522
Debt securities	2,750	2,750	755	5	0	1,000	744	600	248
Financial derivatives	0	0	0	0	0	0	0	0	0
Other investment	-2,244	-2,301	-2,746	-2,984	-4,035	-1,928	-1,820	-1,915	-2,347
Net errors and omissions	737	722	0	0	0	0	0	0	0
Overall balance	1,393	1,379	-372	-318	562	306	687	785	864
Reserves and related items	1,393	1,379	-372	-318	562	306	687	785	864
Reserve assets (gross)	1,335	1,321	-445	-384	445	239	568	642	710
Use of Fund credit and loans to the Fund (net)	-58	-58	-73	-66	-117	-67	-119	-143	-154
Disbursements	0	0	0	0	0	0	0	0	0
Repayments	58	58	73	66	117	67	119	143	154
Memorandum items:									
Gross official reserves (end of period) [3]	7,895	7,895	7,450	7,511	7,600	7,750	8,318	8,960	9,670
(in months of next year's imports)	4.5	4.8	4.0	4.5	3.9	4.5	4.5	4.4	4.4
(in months of 3-year-rolling average imports) [4]	5.0	5.0	4.5	4.6	4.3	4.6	5.0	5.1	5.2
(in percent of M3)	33.9	33.9	27.6	28.3	24.4	25.7	23.5	22.0	20.8
WEO oil price (APSP; US$)	96.2	96.2	56.2	50.8	59.6	29.9	35.8	39.7	43.1
Terms of trade [5]	-3.1	-3.1	9.4	8.7	0.8	3.7	-0.6	-1.1	-0.9

Sources: Kenyan authorities and IMF staff estimates and projections.

[1] Estimates and projections from the First Review staff report (Country Report No. 15/269) have been converted from BPM5 to BPM6 presentation.

[2] Exports and imports in 2015 are higher by $360 million on account of a sale-leaseback agreement for three Kenya Airways aircraft.

[3] For end-2015, includes proceeds from commercial borrowing by the government in Q4, some of which will be drawn down in 2016Q1.

[4] CBK definition of reserve cover: in months of imports of goods and services over the previous 36 months (annualized rolling average).

[5] Percentage change, goods and services.

Table 4b. Kenya: Balance of Payments, 2014–19

(BPM6 presentation, in percent of GDP)[1]

	2014		2015 [2]		2016		2017	2018	2019
	First Rev.	Act.	First Rev.	Proj.	First Rev.	Proj.	Projections		
Current account	-10.4	-10.4	-9.8	-8.2	-9.7	-8.0	-6.7	-6.6	-6.6
Trade balance	-18.9	-18.8	-18.2	-16.8	-18.0	-16.8	-15.6	-15.5	-15.5
Goods: exports, f.o.b.	10.2	10.1	10.4	10.5	10.1	9.7	9.9	10.1	10.3
Coffee	0.4	0.4	0.3	0.3	0.3	0.2	0.2	0.2	0.3
Tea	1.8	1.8	2.0	2.0	2.2	2.1	2.2	2.2	2.2
Horticulture	1.3	1.3	1.2	1.3	1.2	1.2	1.2	1.2	1.2
Other	6.7	6.7	6.9	6.9	6.5	6.2	6.3	6.4	6.6
Goods: imports, f.o.b.	29.0	28.9	28.6	27.3	28.1	26.5	25.5	25.6	25.8
Oil products	6.3	6.2	4.7	3.9	4.2	2.7	3.0	3.3	3.4
Other	22.7	22.7	23.9	23.3	23.9	23.8	22.5	22.3	22.4
Capital imports	9.6	9.4	9.7	9.1	9.9	9.8	9.0	8.7	8.6
Services balance	3.4	3.3	3.2	3.2	3.1	3.4	3.5	3.5	3.6
Services, credit	8.1	8.1	7.9	7.8	7.8	7.9	7.9	7.9	7.9
Transportation	3.6	3.6	3.7	3.3	3.5	3.3	3.3	3.3	3.3
Travel	1.3	1.3	1.1	1.2	1.2	1.4	1.4	1.4	1.5
Services, debit	4.7	4.8	4.8	4.6	4.6	4.5	4.4	4.4	4.4
Goods and services balance	-15.5	-15.5	-15.1	-13.6	-14.9	-13.4	-12.1	-12.0	-11.9
Primary income, balance	-1.1	-1.1	-1.3	-1.3	-1.3	-1.3	-1.3	-1.2	-1.2
Credit	0.3	0.3	0.3	0.3	0.4	0.5	0.6	0.8	0.9
Debit	1.4	1.4	1.6	1.6	1.8	1.8	2.0	2.1	2.2
Secondary income, balance	6.2	6.2	6.6	6.7	6.6	6.7	6.7	6.6	6.6
Credit	6.5	6.5	6.7	6.8	6.7	6.8	6.8	6.7	6.7
Remittances	2.4	2.4	2.5	2.5	2.6	2.5	2.5	2.5	2.4
Debit	0.3	0.3	0.1	0.1	0.1	0.1	0.1	0.1	0.1
Capital account	0.0	0.0	0.4	0.3	0.3	0.3	0.3	0.3	0.3
Financial account	-11.4	-11.4	-8.8	-7.3	-10.2	-8.2	-7.4	-7.3	-7.4
Foreign direct investment	-1.7	-1.7	-1.9	-1.7	-2.3	-2.3	-2.2	-2.4	-2.3
Direct investment, assets	0.0	0.0	0.3	0.4	0.4	0.4	0.5	0.4	0.4
Direct investment, liabilities	1.7	1.7	2.3	2.1	2.7	2.8	2.8	2.8	2.7
Portfolio investment	-6.0	-6.0	-1.9	-0.7	-1.2	-2.9	-2.5	-2.4	-2.1
Portfolio investment, assets	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1
Portfolio investment, liabilities	6.1	6.1	2.0	0.8	1.3	2.9	2.6	2.5	2.2
Equity and investment fund shares	1.6	1.6	0.8	0.8	1.3	1.4	1.5	1.7	1.9
Debt securities	4.5	4.5	1.2	0.0	0.0	1.5	1.1	0.8	0.3
Financial derivatives	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Other investment	-3.7	-3.8	-4.3	-4.9	-5.9	-3.0	-2.6	-2.6	-2.9
Net errors and omissions	1.2	1.2	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Overall balance	2.3	2.3	-0.6	-0.5	0.8	0.5	1.0	1.0	1.1
Reserves and related items	2.3	2.3	-0.6	-0.5	0.8	0.5	1.0	1.0	1.1
Reserve assets (gross)	2.2	2.2	-0.7	-0.6	0.6	0.4	0.8	0.9	0.9
Use of Fund credit and loans to the Fund (net)	-0.1	-0.1	-0.1	-0.1	-0.2	-0.1	-0.2	-0.2	-0.2
Disbursements	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Repayments	0.1	0.1	0.1	0.1	0.2	0.1	0.2	0.2	0.2
Memorandum items:									
Gross official reserves (end of period)	13.0	13.0	11.8	12.2	11.0	12.0	12.1	12.0	11.9
Exports of goods and nonfactor services	18.2	18.2	18.4	18.3	17.9	17.6	17.8	18.0	18.2
Imports of goods and nonfactor services	33.7	33.7	33.4	31.9	32.8	31.0	29.9	30.0	30.1

Sources: Kenyan authorities and IMF staff estimates and projections.

[1] Estimates and projections from the First Review staff report (Country Report No. 15/269) have been converted from BPM5 to BPM6 presentation.

[2] Exports and imports in 2015 are higher by 0.6 percent of GDP on account of a sale-leaseback agreement for three Kenya Airways aircraft.

Table 5. Kenya. Financial Soundness Indicators of the Banking Sector

	Dec-10	Dec-11	Dec-12	Dec-13	Jun-14	Dec-14	Jun-15	Sep-15	Dec-15
					(Percent)				
Capital adequacy									
Regulatory capital to risk-weighted assets	20.8	19.4	21.9	23.2	17.6	19.2	18.9	18.7	18.6
Regulatory tier 1 capital to risk-weighted assets	18.7	17.3	18.9	19.4	15.1	15.9	15.7	15.5	15.6
Total capital to total assets	15.6	15.5	16.3	17.1	17.3	17.9	17.7	18.0	18.1
Asset quality									
Non performing loans to total gross loans	6.2	4.4	4.5	5.0	5.8	5.4	5.7	5.4	6.1
Bank provisions to NPLs	75.3	82.2	80.9	70.7	62.0	65.0	64.1	66.3	61.6
Non performing loans net of provisions to capital	6.4	3.5	3.5	5.8	9.0	7.4	8.1	7.5	9.5
Earning assets to total assets	88.8	87.8	87.4	88.9	88.6	88.2	87.5	87.9	88.8
Earning and profitability									
Return on assets (ROA)	3.7	3.3	3.8	3.6	3.7	3.4	3.3	3.3	3.1
Return on equity (ROE)	30.7	32.2	34.2	28.9	30.9	26.5	28.3	27.4	25.2
Interest margin to gross income	34.7	38.6	32.7	37.2	35.9	36.0	35.6	35.2	33.9
Non interest expenses to gross income	48.2	44.6	37.8	41.7	39.9	40.9	38.9	38.7	39.3
Liquidity									
Liquid assets to total assets	38.4	33.3	35.2	34.3	32.3	32.7	32.2	29.1	31.4
Liquid assets to short-term liabilities	44.5	37.0	41.9	38.6	38.7	37.7	38.7	37.4	38.1
liquid assets to total deposits	51.0	43.8	46.8	47.0	44.4	45.2	44.7	41.1	44.0
Total loans to total deposits	72.5	77.4	76.9	80.4	82.6	83.7	83.5	89.5	87.1
Sensitivity to market risk									
Net open position in foreign exchange to capital	4.3	3.3	2.6	2.2	2.9	4.3	2.9	2.6	3.5
Interest bearing assets to interest bearing liabilities	117.8	115.4	116.2	121.6	121.7	122.1	121.5	124.0	124.6
FX currency denominated assets to total assets	10.6	11.8	13.2	13.7	15.0	15.4	16.4	17.3	16.9
FX currency denominated liabilities to total liabilities	17.1	21.5	20.9	22.9	22.0	22.6	23.5	24.6	24.1
Spread between lending and deposit rate	9.3	8.4	10.3	8.9	8.5	8.0	7.9	7.0	7.2

Source: Central Bank of Kenya.

Table 6. Kenya: Potential Impact of Exogenous Shocks
(in billions of U.S. dollars, relative to baseline, unless otherwise indicated

	2016	2017	2016–17
Simulated impact: capital flow slowdown	**-2.8**	**-2.0**	**-4.9**
FDI[1]	-0.8	-0.4	-1.2
Portfolio investment	-1.7	-1.3	-3.1
Short-term[2]	-0.3	-0.3	-0.6
Excluding IMF and partner financing			
Current account improvement[3]	0.7	1.2	1.9
of which: exports of goods and services	0.0	0.3	0.2
of which: imports of goods and services	0.7	0.9	1.5
of which: from FDI shock	0.3	0.3	0.6
Level of reserves excluding IMF and partner financing (2015: 7.5)[4]	**5.6**	**5.3**	
In months of prospective imports (2015: 4.5)	3.4	3.0	
Financing gap	**0.8**	**0.7**	**1.5**
Development partners (uncertain)	0.0	0.0	0.0
IMF program (US$ billion)[5]	0.8	0.7	1.5
In percent of quota[5]	**111**	**86**	**196**
Reserves including IMF disbursements[5] **(2015: 7.5)**	**6.4**	**6.8**	
In months of prospective imports (2015: 4.5)[6]	3.9	3.8	
Memorandum item:			
Level of reserves, baseline	7.8	8.3	

[1] Assumes decline of net FDI from 1.7 percent of GDP in 2015, to 1.2 percent in 2016.
[2] Based on rollover rate of 90 percent for private short-term (around 25th percentile), applied to estimated short-term private debt stock for 2015.
[3] Because the valuation effects of the assumed REER depreciation on GDP dominate the trade volume effects and the shock is temporary, only modest improvement in the external current account deficit relative to GDP is projected during 2016-17, despite a significant improvement in the current account deficit in U.S. dollar terms.
[4] After direct and indirect effects, including the impacts of depreciation and import compression.
[5] Includes final SBA-SCF disbursement (less than $0.1 billion) scheduled for March 2018.
[6] EAMU convergence criterion: reserve cover of 4.5 months of imports by 2021.

Table 7. Kenya: Proposed Schedule of Reviews and Available Purchases, 2016–18[1]

Availability Date	Condition	Available Purchases under the SBA		Available Loans under the SCF		Total Available Purchases and Loans	
		(SDR millions)	(Percent of quota)	(SDR millions)	(Percent of quota)	(SDR millions)	(Percent of quota)
March 14, 2016	Approve the 24-month SBA and SCF arrangements	361.867	66.67	180.933	33.33	542.800	100.00
November 15, 2016	Completion of the first SBA-SCF reviews based on end-June 2016 performance criteria	37.996	7.00	18.998	3.50	56.994	10.50
May 15, 2017	Completion of the second SBA-SCF reviews based on end-December 2016 performance criteria	135.700	25.00	67.850	12.50	203.550	37.50
November 15, 2017	Completion of the third SBA-SCF reviews based on end-June 2017 performance criteria	135.700	25.00	67.850	12.50	203.550	37.50
March 5, 2018	Completion of the fourth SBA-SCF reviews based on end-December 2017 performance criteria	37.996	7.00	18.998	3.50	56.994	10.50
Total available		709.259	130.67	354.629	65.33	1,063.888	196.00

Source: IMF staff estimates.

[1] Excludes amounts available under the precautionary SBA and SCF arrangements approved in 2015, which are assumed to be cancelled effective March 14, 2016 with their balances undrawn.

Table 8. Kenya: Indicators of Fund Credit, 2016–24
(In millions of SDRs)

	Projections								
	2016	2017	2018	2019	2020	2021	2022	2023	2024
Fund obligations based on existing credit									
(In millions of SDRs)									
Principal	48.7	85.8	103.3	111.3	97.7	91.2	50.3	21.6	0.0
Charges and interest [1]	0.1	0.3	0.3	1.0	0.7	0.5	0.3	0.2	0.2
Obligations to the Fund from existing									
and prospective credit [2]									
(In millions of SDRs)	53.2	93.0	112.0	257.1	381.8	377.1	252.1	106.0	59.2
Principal	48.7	85.8	103.3	247.0	373.9	372.4	249.9	105.1	58.7
Stand-by Arrangements (SBA)	0.0	0.0	0.0	135.7	233.9	214.2	120.8	4.8	0.0
ESF Rapid Access Component (RAC)	27.1	27.1	27.1	13.6	0.0	0.0	0.0	0.0	0.0
ECF Arrangements	21.5	58.6	76.1	97.7	97.7	91.2	50.3	21.6	0.0
SCF Arrangements	0.0	0.0	0.0	0.0	42.3	67.1	78.8	78.8	58.7
Charges and interest [1]	4.6	7.3	8.7	10.1	7.9	4.7	2.2	0.9	0.5
Obligations to the Fund from existing and									
prospective credit [1]									
In millions of U.S. dollars	74.9	131.0	157.7	362.0	537.7	531.1	355.0	149.3	83.3
In percent of gross international reserves	1.2	1.9	1.8	3.8	5.0	4.7	2.9	1.1	0.6
In percent of exports of goods and services	0.7	1.0	1.2	2.4	3.3	3.0	1.8	0.7	0.4
In percent of GDP	0.1	0.2	0.3	0.5	0.7	0.6	0.4	0.1	0.1
In percent of quota	9.8	17.1	20.6	47.4	70.3	69.5	46.4	19.5	10.9
Outstanding Fund credit based on existing drawings									
(end-of-period, all PRGT)									
In millions of SDRs	561.1	475.4	372.1	260.8	163.1	71.9	21.6	0.0	0.0
In percent of quota	103.4	87.6	68.6	48.1	30.0	13.2	4.0	0.0	0.0
Outstanding Fund credit based on existing and									
prospective drawings (end-of-period) [2]									
In millions of SDRs	1,160.9	1,482.3	1,436.0	1,189.0	815.1	442.7	192.8	87.7	29.0
In millions of U.S. dollars	1,635.0	2,087.6	2,022.4	1,674.6	1,148.0	623.5	271.5	123.4	40.8
In percent of gross international reserves	25.4	30.9	23.5	17.6	10.6	5.5	2.2	0.9	0.3
In percent of exports of goods and services	14.4	16.6	14.7	11.1	7.0	3.5	1.4	0.6	0.2
In percent of GDP	2.8	3.7	3.3	2.4	1.4	0.7	0.3	0.1	0.0
In percent of quota	213.9	273.1	264.6	219.1	150.2	81.6	35.5	16.1	5.3
General Resources Account	73.7	123.7	130.7	105.7	62.6	23.1	0.9	0.0	0.0
Poverty Reduction and Growth Trust	140.2	149.4	133.9	113.4	87.6	58.4	34.6	16.1	5.3
Memorandum items:									
Nominal GDP (in billions of U.S. dollars)	58.5	56.5	61.7	70.2	79.4	87.0	95.0	103.5	112.8
Exports of goods and services (in billions of U.S. dollars)	11.3	12.6	13.7	15.1	16.4	17.9	19.5	21.3	23.2
Gross international reserves (in billions of U.S. dollars)	6.4	6.8	8.6	9.5	10.8	11.4	12.1	13.8	14.0
Quota (in millions of SDRs)	542.8	542.8	542.8	542.8	542.8	542.8	542.8	542.8	542.8

Sources: Fund staff estimates; and projections.

1 PRGT interest waived through end-2016. RCF interest set at zero percent and no longer subject to biannual Board reviews. The following rates are assumed beyond 2016: projected interest charges between 2017 and 2018 are based on 0/0.25/0.25 percent per annum for the ECF, SCF, and ESF, respectively, and beyond 2018 0.25/0.5/0.25 percent per annum.

2 Assumes access of 196 percent of quota during 2016-18 and semi-annual disbursements.

Table 9. Kenya: External Financing Requirements and Sources, 2014–19

(BPM6 presentation, financial years)[1]

	2014		2015		2016		2017	2018	2019
	First Rev.	Act.	First Rev.	Proj.	First Rev.	Proj.	Projections		
	(In millions of U.S. dollars)								
Total requirements	8,628	8,971	7,585	6,597	8,178	6,149	5,899	5,349	7,418
Current account deficit	6,339	6,339	6,188	5,012	6,652	4,508	3,374	3,494	3,907
Capital outflows	2,288	2,632	1,397	1,585	1,527	1,641	2,525	1,854	3,511
Repayments of MLT loans	2,288	2,604	1,397	1,369	1,527	1,358	2,149	1,563	2,444
Portfolio investment (sovereign bond)	0	0	0	0	0	0	0	0	750
Foreign direct investment abroad	...	28	...	217	...	283	376	292	317
Total sources	8,628	8,971	7,585	6,597	8,178	6,149	5,899	5,349	7,418
Capital inflows	10,020	7,592	7,212	6,915	8,740	8,006	6,020	3,456	6,324
Public sector	4,118	4,051	3,337	3,128	2,643	2,793	2,020	2,422	2,871
Project grants	24	24	234	208	210	195	177	193	219
Long-term loan disbursements to public sector	1,345	1,277	2,354	2,920	2,433	2,598	1,843	1,629	1,652
Portfolio investment (sovereign bond)	2,750	2,750	750	0	0	0	0	600	1,000
Private sector	5,902	3,541	3,875	3,788	6,097	5,213	4,000	1,034	3,452
Foreign direct investment in Kenya	1,051	1,051	1,437	1,285	1,844	981	1,490	2,076	2,242
Long-term loan disbursements to private sector	1,488	640	1,545	500	1,681	750	1,200	1,000	1,600
Other net inflows (including errors and omissions)	3,364	1,851	893	2,003	2,572	3,481	1,310	-2,042	-389
Financing	1,393	1,379	-372	-318	562	-1,856	-121	1,893	1,094
IMF (net)	-58	-58	-73	-66	-117	776	453	-65	-157
Disbursements	0	0	0	0	0	845	573	80	0
Repayments	58	58	73	66	117	69	121	145	157
Reserve assets (gross)	1,335	1,321	-445	-384	445	-1,080	332	1,827	938
Financing gap	0	0	0	0	0	0	0	0	0
	(In percent of GDP)								
Total requirements	14.2	14.7	12.0	10.7	11.9	10.5	10.4	8.7	10.6
Total sources	14.2	14.7	12.0	10.7	11.9	10.5	10.4	8.7	10.6
Capital inflows	16.4	12.5	11.4	11.3	12.7	13.7	10.7	5.6	9.0
IMF (net)	-0.1	-0.1	-0.1	-0.1	-0.2	1.3	0.8	-0.1	-0.2
Reserve assets (gross)	2.2	2.2	-0.7	-0.6	0.6	-1.8	0.6	3.0	1.3

Sources: Kenyan authorities and IMF staff estimates and projections.

[1] Estimates and projections from the First Review staff report (EBS/15/99) have been converted from BPM5 to BPM6 presentation.

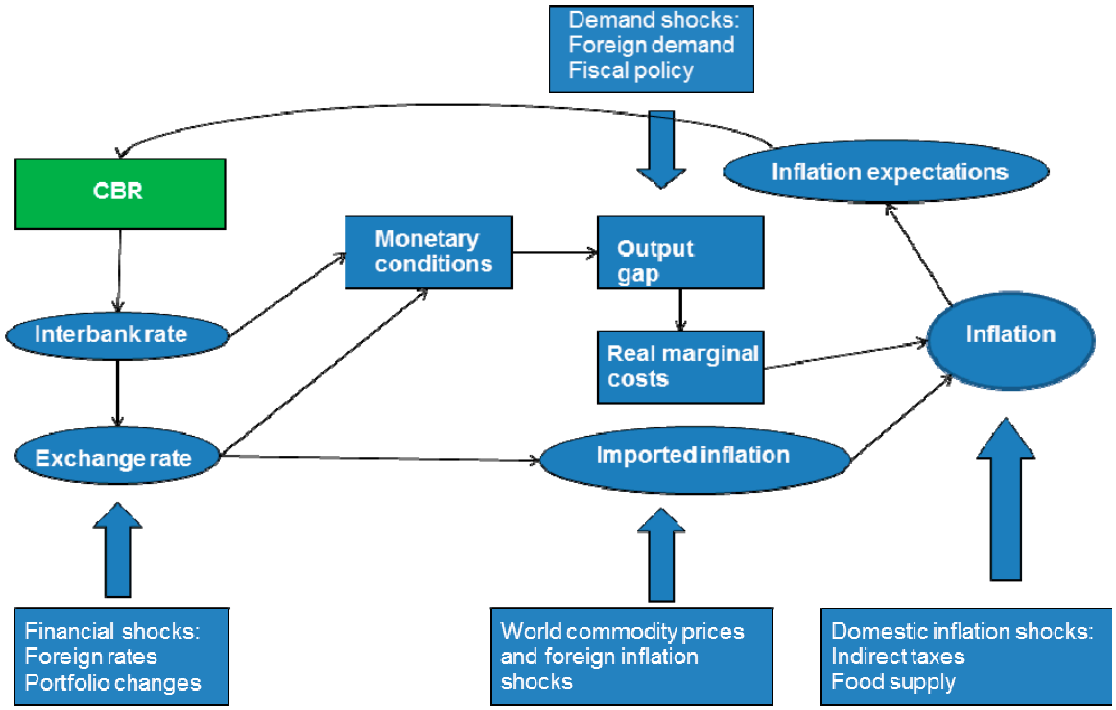
Annex I. Forecasting Policy Analysis Systems (FPAS) Framework for Kenya

We adopt a simple New-Keynesian quarterly projection model (QPM) to analyze monetary policy based on a medium-term inflation outlook. Similar models are often used as core forecasting models in the Forecasting and Policy Analysis Systems (FPAS) adopted by many central banks, including the Central Bank of Kenya.

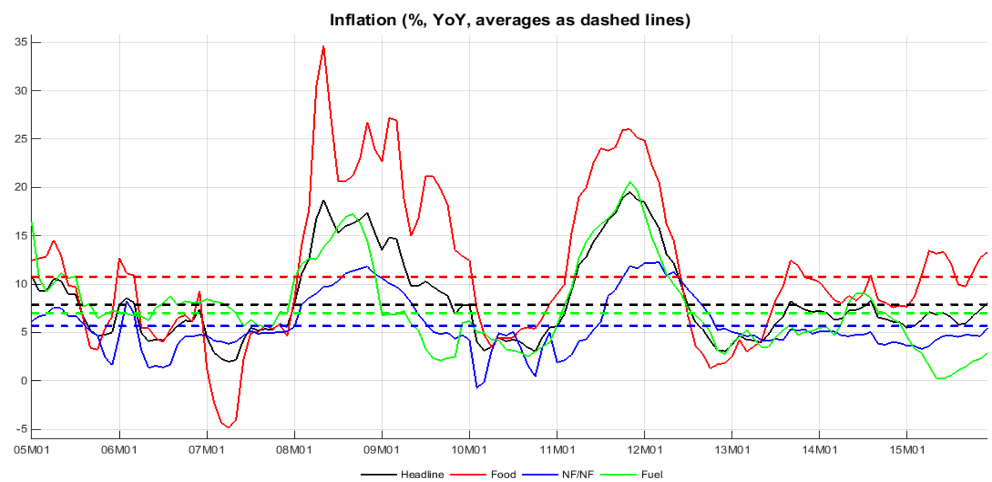
The purpose of the QPM is to facilitate coherent forward-looking analysis of the inflationary factors and to infer an appropriate path for the operational target of monetary policy consistent with attaining the inflation objective in the medium term. In doing so, the model helps distinguish temporary pressures on inflation (e.g., food and energy supply shocks) from more persistent pressures (e.g. from excessive demand). The forward-looking nature of the QPM helps also in distinguishing first- and second-round effects of supply shocks or changes in indirect taxes in guiding the policy decisions.

The adopted QPM is built around four main behavioral equations:

- *IS curve* represents the behavior of aggregate demand. Aggregate demand depends on the real interest rate and real exchange rate, the main drivers of intertemporal substitution in consumption and substitution between domestic and foreign goods, respectively. Aggregate demand is also affected by foreign demand and the fiscal stance. Specification of the IS curve in Kenya's QPM reflects relatively weak interest rate channel of the monetary transmission in Kenya.
- *Phillips curve* represents aggregate supply, which depends on real marginal costs that are approximated by the output gap and real exchange rate. The model includes separate Phillips curves for food, fuel, and non-food non-fuel inflations. The calibration of the Phillips curves includes strong and fast exchange rate pass-through to prices, prevalence of short-lasting supply shocks, and low price stickiness, typical for Kenya's economy.
- *Uncovered interest parity condition* relates domestic and foreign interest rates with expected foreign exchange depreciation and the country risk premium. The condition ensures that there is no arbitrage between investments abroad and in the domestic economy.
- *Taylor rule* describes the behavior of monetary policy, which sets the policy rate (i.e., operational target) around the policy neutral rate in order to bring inflation towards the inflation target in the medium term. The figure below presents the monetary policy transmission mechanism. The recent large deviations of the interbank interest rate from the policy rate blur the transmission channels of monetary policy and reduce the reliability of the forecasting exercise. For the purpose of inflation forecasting, the staff uses the Taylor rule for the interbank interest rate.

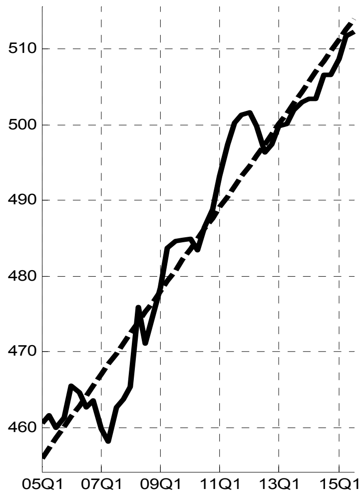


The QPM for Kenya treats food, fuel (also includes transportation prices), and non-food non-fuel (NF/NF) inflation separately to better identify food and fuel supply shocks and also to take into account explicitly that food and fuel prices grow faster on average than NF/NF prices. During 2005–15, average food price inflation was over 10 percent while the NF/NF inflation was slightly over 5 percent.

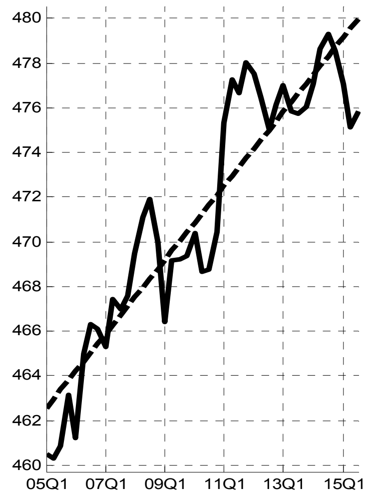


Based on the historical observations, staff estimated steady state values for (i) food inflation—7.9 percent; and (ii) non-food non-fuel inflation—2.8 percent. These estimates are consistent with the steady state for headline inflation of 5 percent, which is the inflation target.

Relative Price of Food VS. NF/NF



Relative Price of Fuel VS. NF/NF



Excluding the impact of the excise taxes (estimated at 0.6 percentage points) in December 2015, NF/NF inflation stood at 5 percent (above its estimated steady state value of 2.8 percent), likely reflecting continued demand pressures and second-round effects of the exchange rate depreciation and the food supply shocks in 2015.

Stand-By Arrangement

Attached hereto is a letter (the "Letter") with its annexed Memorandum of Economic and Financial Programs (the "MEFP") and Technical Memorandum of Understanding (the "TMU") dated February 29, 2016, from the Cabinet Secretary of the National Treasury and the Governor of the Central Bank of Kenya, requesting a Stand-By Arrangement and setting forth:

a) the objectives and policies that the authorities of Kenya intend to pursue for the period of this Stand-by Arrangement;
b) the policies and measures that the authorities of Kenya intend to pursue during the first year of this Stand-by Arrangement; and
c) understandings of Kenya with the Fund regarding reviews that will be made of progress in realizing the objectives of the program and of the policies and measures that the authorities of Kenya will be pursue for the remaining period of this Stand-by Arrangement.

To support these objectives and policies, the Fund grants this Stand-by Arrangement in accordance with the following provisions:

1. For a period of twenty four (24) months from the date of the approval of this Stand-by Arrangement, Kenya will have the right to make purchases from the Fund in an amount equivalent to SDR 709.259 million, subject to paragraphs 2, 3, 4 and 5 of this Stand-by Arrangement, without further review by the Fund.

2. (a) Purchases under this Stand-by Arrangement shall not, without the consent of the Fund, exceed the equivalent of SDR 361.867 million until November 15, 2016, the equivalent of SDR 399.863 million until May 15, 2017, the equivalent of SDR 535.563 million until November 15, 2017 and the equivalent of SDR 671.263 million until March 5, 2018.

(b) None of the limits in (a) above shall apply to a purchase under this Stand-by Arrangement that would not increase the Fund's holdings of Kenya's currency subject to repurchase beyond 25 percent of quota.

3. Kenya will not make purchases under this Stand-by Arrangement that would increase the Fund's holdings of Kenya's currency subject to repurchase beyond 25 percent of quota:

   (a) Subject to paragraph 2 of Decision No. 14407-(09/105), as amended, during any period in which the data at the end of the preceding period indicate that:

      (i) the floor on the primary budget balance of the national government of Kenya; or
      (ii) the floor on the stock of net international reserves of the Central Bank of Kenya

as specified in Table 3 of the MEFP and as further specified in the TMU, is not observed; or

(b) If at any time during the period of this Stand-by Arrangement, the ceiling on the accumulation of new external payment arrears by the national government, as set out in Table 3 of the MEFP and further specified in the TMU, is not observed; or

(c) On or after November 14, 2016, May 145, 2017, November 145, 2017 and March 4, 2018 respectively, until the reviews contemplated in paragraph 6 of the LOI are completed.

(d) If at any time during the period of the Stand-by Arrangement, Kenya:

   (i) imposes or intensifies restrictions on the making of payments and transfers for current international transactions; or
   (ii) introduces or modifies multiple currency practices; or
   (iii) concludes bilateral payments agreements that are inconsistent with Article VIII; or
   (iv) imposes or intensifies import restrictions for balance of payments reasons; or

(e) If Kenya has not consulted with the Fund as provided for in Paragraph 12 of the TMU and Table 3 of the MEFP.

When Kenya is prevented from purchasing under this Stand-by Arrangement because of this paragraph 3, purchases will be resumed only after consultation has taken place between the Fund and Kenya and understandings have been reached regarding the circumstances in which such purchases can be resumed.

4. Kenya will not make purchases under this Stand-by Arrangement during any period in which Kenya: (i) has an overdue financial obligation to the Fund or is failing to meet a repurchase expectation in respect of a noncomplying purchase pursuant to Decision No. 7842-(84/165) on the Guidelines on Corrective Action; or (ii) is failing to meet a repurchase obligation to the PRG Trust established by Decision No. 8759-(87/176), or a repayment expectation to that Trust, pursuant to the provisions of Appendix I of the PRG Trust Instrument.

5. Kenya's right to engage in the transactions covered by this Stand-by Arrangement can be suspended only with respect to requests received by the Fund after (a) a formal ineligibility, or (b) a decision of the Executive Board to suspend transactions, either generally or in order to consider a proposal, made by an Executive Director or the Managing Director, formally to suppress or to limit the eligibility of Kenya. When notice of a decision of formal ineligibility, or of a decision to consider a proposal is given pursuant to this paragraph 5, purchases under this Stand-by Arrangement will be resumed only after consultation has taken place between the Fund and Kenya and understandings have been reached regarding the circumstances in which such purchases can be resumed.

6. Purchases under this Stand-by Arrangement shall be made in the currencies of other members selected in accordance with the policies and procedures of the Fund, unless at the request of Kenya, the Fund agrees to provide SDRs at the time of the purchase.

7. Kenya shall pay a charge for this Stand-by Arrangement in accordance with decisions of the Fund.

8. (a) Kenya shall repurchase the amount of its currency that results from a purchase under this Stand-by Arrangement in accordance with the provisions of the Articles of Agreement and decisions of the Fund, including those relating to repurchases, as Kenya's balance of payments and reserve position improves. (b) Any reductions in Kenya's currency held by the Fund shall reduce the amounts subject to repurchase under (a) above in accordance with the principles applied by the Fund for this purpose at the time of the reduction.

9. During the period of this Stand-by Arrangement, Kenya shall remain in close consultation with the Fund. These consultations may include correspondence and visits of officials of the Fund to Kenya or of representatives of Kenya to the Fund. Kenya shall provide the Fund, through reports at intervals or dates requested by the Fund, with such information as the Fund requests in connection with the progress of Kenya in achieving the objectives and policies set forth in the Letter, MEFP and TMU.

10. In accordance with paragraph 8 of the Letter, Kenya will consult with the Fund on the adoption of any measures that may be appropriate at the initiative of the Government or whenever the Managing Director requests consultation because any of the criteria in paragraph 3 of this Stand-by Arrangement have not been observed or because the Managing Director considers that consultation on the program is desirable. In addition, after the period of this Stand-by Arrangement and while Kenya has outstanding purchases in the upper credit tranches, the Government will consult with the Fund from time to time, at the initiative of the Government or at the request of the Managing Director, concerning Kenya's balance of payments policies.

Arrangement Under the Standby Credit Facility

Attached hereto is a letter dated February 29, 2016 (the "Letter"), with its attached Memorandum of Economic and Financial Policies (the "MEFP) and Technical Memorandum of Understanding (the "TMU"), from the Cabinet Secretary of the National Treasury and the Governor of the Central Bank of Kenya requesting from the International Monetary Fund, as Trustee of the Poverty Reduction and Growth Trust (the "Trustee"), a twenty four (24) months arrangement under the Standby Credit Facility (the "SCF Arrangement"), and setting forth:

(a) the objectives and policies of the program that the authorities of Kenya intend to pursue during the 24-month period of the SCF Arrangement;
(b) the objectives, policies and measures that the authorities of Kenya intend to pursue during the period of the SCF Arrangement; and
(c) understandings of Kenya with the Trustee regarding reviews that will be made of progress in realizing the objectives of the program.

To support these objectives and policies, the Trustee grants the requested 24-month SCF Arrangement in accordance with the following provisions, and subject to the provisions applying to assistance under the Poverty Reduction and Growth Trust (the "PRG Trust").

1. For a period of 24 months from the date of approval of this SCF Arrangement, Kenya will have the right to obtain disbursements from the Trustee in a total amount equivalent to SDR 354.629 million, subject to the availability of resources in the PRG Trust.

2. During the period of the SCF Arrangement:

   (a) the first disbursement, in an amount equivalent to SDR 180.933 million will be available upon approval of this SCF Arrangement, at the request of Kenya, and subject to paragraphs 3, 4 and 5 below;
   (b) the second disbursement, in an amount equivalent to SDR 18.998 million, will be available on or after November 15, 2016, at the request of Kenya and subject to paragraphs 3, 4 and 5 below;
   (c) the third disbursement, in an amount equivalent to SDR 67.85 million, will be available on or after May 15, 2017, at the request of Kenya and subject to paragraphs 3, 4 and 5 below;
   (d) the fourth disbursement, in an amount equivalent to SDR 67.85 million, will be available on or after November 15, 2017, at the request of Kenya and subject to paragraphs 3, 4 and 5 below; and
   (e) the fifth disbursement, in an amount equivalent to SDR 18.998 million, will be available on or after March 5, 2018, at the request of Kenya and subject to paragraphs 3, 4 and 5 below.

3. Kenya will not request the second, third, fourth and fifth disbursements under this SCF Arrangement specified in paragraphs 2(b), 2(c), 2(d) and 2(e) above respectively:

   (a) if the Managing Director of the Trustee finds that, with respect to the second disbursement, the data as of June 30, 2016; with respect to the third disbursement, the data as of December 31, 2016; with respect to the fourth disbursement, the data as of June 30, 2017 and with respect to the fourth disbursement, the data as of December 31, 2017 indicate that:

      (i) the floor on the primary budget balance of the national government of Kenya; or

      (ii) the floor on the stock of net international reserves of the Central Bank of Kenya;

as set out in Table 3 of the MEFP and further specified in the TMU was not observed; or

   (b) after November 14, 2016 until the Trustee has determined, with respect to the second disbursement, that the first program review has been completed, after May 14, 2017 until the Trustee has determined, with respect to the third disbursement, that the second program review has been completed, after November 14, 2017 until the Trustee has determined, with respect to the fourth disbursement, that the third program review has been completed, and after March 4, 2018 until the Trustee has determined, with respect to the fifth disbursement, that the fourth program review has been completed.

4. Kenya will not request a disbursement if at any time during this SCF Arrangement:

   (a) the ceiling on the accumulation of new external payment arrears by the national government, as set out in Table 3 of the MEFP and further specified in the TMU, is not observed; or
   (b) Kenya imposes or intensified restrictions on the making of payments and transfers for current international transactions, or
   (c) Kenya introduces or modifies multiple currency practices, or
   (d) Kenya concludes bilateral payments agreements that are inconsistent with Article VIII, or
   (e) Kenya imposes or intensifies import restrictions for balance of payments reasons.

5. Kenya will not request a disbursement if it has not consulted with the Fund as provided for in Paragraph 12 of the TMU and Table 3 of the MEFP.

6. Kenya will not request a disbursement that has become available under the SCF Arrangement upon the satisfaction of the conditions for such disbursement set out in paragraphs 3 and 4 above and that remains undrawn:

(i) after November 14, 2016, until the first review referred to in paragraph 3(b) above has been completed;

(ii) after May 14, 2017 until the second review referred to in paragraph 3(b) above has been completed;

(iii) after November 14, 2017 until the third review referred to in paragraph 3(b) above has been completed; and

(iv) after March 4, 2018 until the fourth review referred to in paragraph 3(b) above has been completed.

7. When Kenya is prevented from requesting disbursements under this SCF Arrangement because of paragraphs 3, 4 and 5 above, such disbursements may be made available only after consultation has taken place between the Trustee and Kenya and understandings have been reached regarding the circumstances in which Kenya may request the disbursements.

8. In accordance with paragraph 8 of the Letter, Kenya will provide the Trustee with such information as the Trustee requests in connection with the progress of Kenya in implementing the policies and reaching the objectives of the program supported by this SCF Arrangement.

9. During the period of this SCF Arrangement, Kenya shall remain in close consultation with the Trustee. In accordance with paragraph 8 of the Letter, Kenya shall consult with the Trustee on the adoption of any measures that may be appropriate at the initiative of the government or whenever the Managing Director of the Trustee requests such a consultation. Moreover, after the period of this SCF Arrangement and while Kenya has outstanding financial obligations to the Trustee arising from loan disbursements under this SCF Arrangement, Kenya shall consult with the Trustee from time to time, at the initiative of the government or whenever the Managing Director of the Trustee requests such consultation on Kenya's economic and financial policies. These consultations may include correspondence and visits of officials of the Trustee to Kenya and of representatives of Kenya to the Trustee.

Appendix I. Letter of Intent

Nairobi, Kenya

February 29, 2016

Ms. Christine Lagarde
Managing Director
International Monetary Fund
Washington, D.C. 20431
United States of America

Dear Ms. Lagarde:

1. Kenya's growth performance remains robust, supported by significant public infrastructure investments, lower energy prices, and strong private consumption. We have continued to implement key structural reforms, which have resulted in significant improvements in the business environment, boding well for continued strong, pro-poor growth over the medium term. However, external shocks from heightened volatility in global markets adversely affected capital inflows, put pressure on the exchange rate, and contributed to fiscal financing challenges. Inflation has also risen in recent months largely due to adverse weather-related factors and a new excise tax, and exceeded the upper bound of our target range (5±2.5 percent) in December, but still within single digit levels.

2. Performance under our economic program supported by the Stand-By Arrangement (SBA) and the Standby Credit Facility arrangement (SCF) has been broadly in line with program targets. We met all end-September and continuous performance criteria (PCs), as well as all end-September quantitative indicative targets (Table 1). Four out of six end-September and end-December structural benchmarks were also completed and we made significant progress towards completing the other two structural benchmarks (Table 2). The implementation of the structural measures envisaged under the program are important steps towards improved cash and public debt management, more transparent fiscal operations, more effective instruments for the Central Bank of Kenya (CBK), and better quality external sector data that will allow for a more accurate assessment of private sector vulnerabilities.

3. We are taking determined steps to strengthen our resilience to shocks. To maintain macroeconomic stability, and in response to the external shocks that affected our economy in 2015, we have tightened monetary policy in the context of a flexible exchange rate regime, mobilized additional foreign financing, and submitted to Parliament a Budget Policy Statement containing fiscal measures to meet the original fiscal deficit target of 8 percent of GDP for 2015/16 envisaged under the program.

4. Our policies for the next two years focus on sustaining inclusive, investment-led growth while continuing to build resilience. We remain committed to a gradual consolidation of fiscal policy, in order to maintain public debt sustainability and in the medium term to meet the East African Community monetary union convergence criteria. The CBK's policies aim to bring inflation within the target range (below 7.5 percent) by mid-2016 and subsequently towards the midpoint of our target range (5 percent) by end-2016. We are also committed to further improve public financial management with a strong emphasis on public sector efficiency and transparency, to strengthen the financial sector supervision and regulation, to make further progress in our transition to a modern inflation targeting framework, and to deepen structural reforms aimed at improving the business environment.

5. While these reforms are under way, reducing existing vulnerabilities will take time. In view of the fact that the current account deficit is partly financed by portfolio and other short-term capital inflows, Kenya is vulnerable to possible shifts in investors' risk perception towards emerging and frontier markets, in light of heightened volatility of global markets. Furthermore, while security threats and weather-related shocks are subsiding, these continue to represent additional sources of potential shocks.

6. Against this background, and on the basis of our established track record of program implementation to date and the policy priorities outlined in the attached Memorandum of Economic and Financial Policies (MEFP), we request: (i) completion of the second reviews under the current 14-month SBA and SCF arrangements and hereby cancelation of those arrangements immediately upon completion of the second reviews; and (ii) a follow-up program supported by new SBA and SCF, with combined access of SDR 1,063.888 million (196 percent of quota) over the next 24 months, of which SDR 709.259 million under the SBA and SDR 354.629 million under the SCF. In addition to providing a buffer against exogenous shocks, the requested new SBA-SCF arrangements will continue to provide a policy anchor for our reform program. We expect to complete the first review under the Stand-by and SCF arrangements on or after November 15, 2016, the second review on or after May 15, 2017, the third review on or after November 15, 2017 and the fourth review on or after March 5, 2018.

7. While we do not have balance of payments needs under our baseline projections, potential needs could materialize if major capital account, security or weather-related shocks were to hit our economy. Therefore we intend to treat both new arrangements as precautionary, and we do not intend to draw under these arrangements unless exogenous shocks generate an actual balance of payments financing need. We believe that the envisaged package of macroeconomic policies and structural reforms under the new program, with the performance criteria and structural benchmarks summarized in Tables 3 and 4, would significantly reduce the likelihood of potential balance of payments need after 2017/18.

8. We are confident that the policies set out in the attached MEFP will enable us to achieve our program objectives. However, we will take any further measures that may become necessary for this purpose. We will consult with the IMF on the adoption of these measures, and in advance of revisions to the policies contained in the MEFP, in accordance with the IMF's policies on such

consultations. We will provide such information as the IMF may request in connection with progress in implementing our economic and financial policies. We authorize the publication of the staff report for the request of the program supported by SBA-SCF arrangements, this letter of intent, and the attached MEFP and technical memorandum of understanding.

Sincerely yours,

/s/ /s/

Henry Rotich
Cabinet Secretary
The National Treasury

Patrick Njoroge
Governor
Central Bank of Kenya

Memorandum of Economic and Financial Policies
Technical Memorandum of Understanding

Attachment I. Memorandum of Economic and Financial Policies

I. BACKGROUND

1. **The Kenyan economy has continued to perform well despite headwinds from a weaker global economic environment.** Real GDP growth accelerated to 5.8 percent in the third quarter of 2015 (up from 5.0 percent and 5.6 percent, respectively, in the first and second quarters), supported by higher public investment spending, continued strong growth in consumption, and improved weather conditions that have boosted agricultural and hydro-power electricity production. Despite the turbulence in emerging markets associated with the anticipated normalization of the U.S. monetary policy in the third quarter of 2015, key macroeconomic indicators have remained broadly stable in recent months. The eventual hike in the U.S. Fed rate in December 2015 had minimal impact on our financial market. Average inflation increased from 6.1 percent in the third quarter of 2015 to 7.4 percent in the fourth quarter of 2015, largely driven by adverse weather conditions associated with the El Nino rains which disrupted food supply chains, and the revised excise taxes that took effect from December 1, 2015. In December 2015 and January 2016, the 12-month inflation exceeded the upper bound of our target range (5±2.5 percent) on account of these factors.

2. **Notwithstanding external shocks, our external position remains resilient.** The spillover into Kenya of the heightened volatility in global markets, which intensified starting in April 2015, adversely affected capital inflows and put pressure on the exchange rate. Our policy response focused on tightening monetary policy, mobilizing additional foreign financing, and temporarily containing expenditures. The current account deficit is narrowing, due to lower international oil prices, better tea and horticulture exports, and higher remittances. Following the recent removal of travel warnings to tourist destinations by several main tourism source markets which reflects improved security, the decline in tourist arrivals seems to have bottomed out. International reserves remained adequate at US$7.5 billion at end-2015, equivalent to 4.5 months of projected imports of goods and services for 2016.

3. **The banking system's financial soundness indicators remain sound.** The banking sector has continued to demonstrate robust growth and resilience both in its domestic and regional operations. The core capital and total capital to total risk weighted assets ratios for the banking system stood at 15.6 percent and 18.6 percent respectively as at end December 2015, above the respective statutory minimums of 10.5 percent and 14.5 percent. While credit and liquidity indicators remain satisfactory, we are continuously monitoring credit and liquidity risks.

4. **The prevailing precautionary SBA-SCF arrangements helped anchor our macroeconomic policy framework, and also back stopped our foreign exchange reserve buffers**. All end-September and continuous performance criteria (PCs), the end-September inflation target under the Monetary Policy Consultation Clause (MPCC), as well as all end-September quantitative indicative targets were met (Table 1). Four out of six end-September and end-December structural benchmarks were also completed and we made significant progress towards completing the other two structural benchmarks (Table 2). Kenya was among the top 10

reformers in 2015 in the World Bank's Ease of Doing Business Index, moving to 108th place (out of 189 countries) from 129th in 2014, with improvements especially in the provision of electricity, access to credit, and ease of registering property.

5. We are taking deliberate steps to strengthen our economy's resilience to shocks. We remain committed to undertake a gradual consolidation of fiscal policy, in order to maintain public debt sustainability in line with the East African Community (EAC) monetary union convergence criteria. The CBK's policies aim to bring inflation towards the mid-point of our target range (5±2.5 percent), while helping ensure financial sector stability. We are also taking steps to improve the financial sector oversight, strengthen the monetary policy transmission mechanism, and deepen structural reforms to improve the business environment. However, reducing vulnerabilities requires concerted efforts and will take time. The renewed program with the Fund for an additional 24 months will provide continued insurance against potential shocks that could generate a balance of payments need, as well as anchor policies aimed at strengthening Kenya's resilience to shocks.

II. MACROECONOMIC OUTLOOK

6. Based on policies outlined in section IV below, the outlook is for continued robust growth, lower fiscal deficits, the return of inflation within the target range in mid-2016 and its gradual decline thereafter towards the midpoint of our target range, and a gradual improvement in the external current account:

7. ***Real GDP*** growth is projected to reach 5.6 percent in 2015 and accelerate to 6.0 percent in 2016, driven by higher growth in agriculture on account of better rains, an expected recovery of tourism, and continued support from public infrastructure investments and private consumption.

8. ***Inflation*** is projected to decline below 7.5 percent by mid-2016, and to gradually converge towards the mid-point of our target band over time, supported by the policy mix outlined below (including a gradual fiscal consolidation unburdening monetary policy).

9. Kenya's ***external position*** is projected to strengthen over the program period. In 2015, the current account deficit is estimated to have narrowed to 8.2 percent of GDP, or about 2 percentage points of GDP lower than in 2014, following the peak of aircraft imports in 2014, a fall in international oil prices, and a slowdown in consumer imports. The current account deficit is projected at 8.0 percent of GDP in 2016 on the back of SGR-related imports, and to decline to 6.7 percent of GDP in 2017 mainly reflecting the envisaged reduction in the fiscal deficit. We expect reserves to remain at adequate levels in the absence of further shocks.

10. There are downside risks to the above baseline outlook. The most severe shock would emanate from the financial account of the balance of payments, in light of heightened volatility in global markets, which could be amplified by expected further increases in US policy interest rates, slower global or regional growth, and difficulties in some emerging market countries. Other downside risks stem from possible security threats and the impact of weather-related shocks that would lower agricultural production and affect hydro power generation, and require higher imports of food and fuel products.

III. PROGRAM OBJECTIVES

11. Our main policy objective is to ensure sustainability of investment-driven, inclusive growth through prudent macroeconomic management and structural reforms. The Fund-supported program would provide a policy anchor to implement our ambitious reform program, which is centered on the following key policy priorities:

- ***Fiscal policy***. Undertaking fiscal consolidation over the medium term to reduce the burden on monetary policy in demand management, maintain public debt sustainability, and support a reduction in the current account deficit.

- ***Public financial management***. Taking decisive steps to increase the efficiency, effectiveness, transparency, and accountability of public spending, in order to ensure that there is sufficient fiscal space for priority social and investment projects.

- ***Monetary policy***. Gradually bringing inflation towards the mid-point of our target range of 5±2.5 percent, and further improving the monetary policy framework to facilitate transition towards a modern inflation targeting framework.

- ***Financial stability***. Safeguarding financial stability by enhancing prudential regulation and supervision in the face of increased growth and complexity of the financial sector. This is in tandem with Kenya's Vision 2030 objective of promoting a sound, safe and inclusive financial system.

- ***Data provision***. Improving data quality in line with international best practices, to support economic policy making.

IV. PROGRAM POLICIES

A. Fiscal Policy

12. Main policy objectives. Our fiscal anchor is to reduce the present value of gross public debt to 45 percent of GDP in the medium term. Consistent with this objective, we are committed to gradually adjusting fiscal policy, through a combination of lower spending and higher revenues. We target a reduction in the fiscal deficit to 6.5 percent of GDP in 2016/17 and 5 percent in 2017/18, from our unchanged deficit target of 8 percent of GDP in 2015/16.

13. We faced significant challenges in implementing the 2015/16 budget. Revenue collections during the first half of the fiscal year (the latest data available) fell short of budget targets by nearly KSh 50 billion (about ¾ percent of GDP). This reflected mainly slower growth, lower-than-expected yields from the income tax and VAT, as well as delays in approving the new excise tax measures. In addition, domestic financing during the first quarter of the fiscal year was constrained by overly tight liquidity conditions, resulting in a net borrowing of about 0.4 percent of GDP (compared to a projected net borrowing of 1.7 percent of GDP), and a significant increase in the cost of financing. Faced with these challenges, we advanced external financing planned in the budget, by drawing (starting in November) on a US$750 million two-year syndicated loan. As a result, overall financing during the first half of the fiscal year was about 2.5 percent of GDP. Nonetheless, the revenue shortfall constrained spending to about 77 percent of budgeted amounts during the period, contributing to delays in spending that fell mainly on capital expenditure.

14. We have taken measures to meet the original fiscal deficit target of 8 percent of GDP for 2015/16 envisaged under the program. On the basis of revenue trends during July-December, the annual revenue shortfall could reach 0.8 percent of GDP. In addition, expenditure over-runs, mainly on account of higher interest payments, are estimated at 0.2 percent of GDP. To achieve the original fiscal deficit target of 8 percent of GDP for the year, we have submitted for parliamentary approval a draft Budget Policy Statement (BPS) that reduces overall spending by about KSh 84 billion (1.2 percent of GDP) relative to the budget approved by parliament, of which about KSh45 billion pertaining to capital expenditure. In addition, the Kenya Revenue Authority (KRA) is taking a number of steps to strengthen revenue collection, which is expected to yield about 0.2 percent of GDP in additional revenue. These include introducing certification at origin of imports and streamlining management of container freight stations, dividing them into clusters to allow better monitoring. While we are confident that the above measures would achieve the 8 percent deficit target for 2015/16, if cumulative revenues (excluding grants and ministerial AIA) at end-March are below KSh 837.1 billion, we will adjust new expenditure commitments from April 2016 to fully offset the shortfall.

15. To maintain fiscal sustainability and meet the EAC monetary union convergence criterion, we remain committed to take fiscal measures to reduce the fiscal deficits by 3 percent of GDP between 2015/16 and 2017/18. These measures will include steps to:

- **Reduce tax expenditures.** With FAD TA, we will complete by end-September 2016 a study on tax expenditures, in order to identify their size, type (e.g., tax exemptions, reduced tax rates), their evolution over time, and the category of taxation to which they apply (**structural benchmark**). Based on the results of this study, we will devise measures to reduce tax expenditures.

- **Streamline allowances and adopt a clear policy for the entire public sector's remunerations and benefits policy framework outlined by the Salary and Remunerations Commission last June.** In this regard, we intend to tighten eligibility for allowances (especially those at the high end of the job scale), freeze them in nominal terms pending their review, and eventually include them as part of the base pay. Furthermore, we plan to adopt a wage and remuneration policy based on a wage grid that ensures comparability of salaries with the private sector. These measures will also help eliminate inefficiencies and foster transparency in remuneration policy. Reforms will be implemented gradually over the medium term, and within the context of a social dialogue to ensure that they are sustained. The first phase will consist of making publicly available by end-September 2016 a study on the magnitude of public sector allowances and potential fiscal savings from streamlining, and include a timetable for reforms in this area.

- **Achieve better value for money in implementation of investment projects through stricter selection and monitoring procedures.** To this end, we will by end-September 2016 issue and adopt guidelines on the appraisal of new investments projects to be incorporated into the Medium-Term Expenditure Framework (**structural benchmark**).

- **Rationalize recurrent expenditure.** We will take steps to contain growth of spending on goods and services and transfers to parastatals, with a view to gradually reduce recurrent expenditure (net of interest payments and pensions) by 0.9 percent of GDP by 2017/18.

- **Improve customs revenue collection.** With a view to reduce tax evasion, we will expand by end-June 2016 a database of up-to-date reference prices for imports, and adopt an adequate sanction policy for undervaluation.

- **Strengthen revenue performance at the county level.** We will develop by end-June 2016 an action plan aimed at initiating KRA's engagement with county governments regarding the shared administration of property rates. In addition, we will submit to parliament by end-December 2016 draft legislation to clarify powers by counties to set taxes/user fees (**structural benchmark**), aimed at increasing revenue at the county level, while maintaining a business-friendly tax system.

- **Improve collection of large outstanding tax debts.** In the first phase, we will by end-April 2016 determine the potential collectible amounts from the largest tax debts. In the second phase, we will launch an enhanced debt collection enforcement campaign.

16. We will continue to improve public finance management.

- To contain and manage fiscal risks from contingent liabilities, we will continue to enhance the reporting in the 2016 Medium-Term Budget Policy Statement on all commitments and obligations under existing PPPs and guarantees.

- To improve the processing of personnel payments and the comprehensiveness of fiscal reports, we intend to incorporate by end-June 2016 personnel payments into the Integrated Financial Management Information System (IFMIS) by interfacing it with the government human resource information systems (GHRIS) (**structural benchmark**).

- To complement this effort, we will gradually implement all GHRIS control modules (unique personal identification number, performance evaluation, and other controls), and pursue the integration of GHRIS with the KRA, the Retirement Benefits Authority (RBA), and other government institutions.

- To prevent the accumulation of pending bills, we will by end-June 2016 establish a tracking system to closely monitor their accumulation and produce monthly Aging Pending Bills reports starting in June 2016 (**structural benchmark**).

- To improve the coverage of fiscal reports, we will publish by end-March 2016 consolidated financial statements of the national government and county governments, as part of the regular annual reporting (**structural benchmark**).

- To improve the efficiency of government spending, we will by end-September 2016 strengthen the role of e-procurement by (i) widening its coverage to include all government entities (including all state-owned enterprises); and (ii) establish a system to monitor the dispersion of prices across government entities, and updating the reference prices for common items on a quarterly basis. The procurement law has been enacted and we have now embarked on developing the regulations.

- To make further progress towards improving the efficiency of the government cash management and payment processes, as part of the Treasury Single Account reform, we will by end-September 2016 capture all public debt payments in IFMIS (**structural benchmark**).

- To strengthen the accountability and transparency of county finances, we will start in June 2016 the verification of outstanding county assets and liabilities.

B. Monetary Policy

17. Policy objectives: Our key policy objective is to bring headline inflation towards the midpoint of our target range (5±2.5 percent), in the context of a floating exchange rate regime. The inflation objective under the program will continue to be monitored through a monetary policy consultation clause (MPCC), developments in CBK's net domestic assets and net international reserves.

18. Inflation outlook. Inflation is expected to remain above the target range in the near term on account of high food prices arising mainly from weather-related food price shocks, exchange rate pass-through, and the impact of the recently introduced excise taxes. However, once the impact of these temporary factors subsides, inflation is expected to decline below 7.5 percent. We stand ready to tighten monetary policy if there is clear evidence of rising demand pressures and/or second-order effects of supply shocks that could threaten our inflation objective.

19. Strengthening the monetary policy framework in the context of a floating exchange rate regime. Interventions will be limited to stemming volatility in the foreign exchange market. We will also continue to take measures to support the transition to a modern inflation targeting framework including:

- **Eliminating the structural rigidities that undermine market signals in money and credit markets.** We are undertaking a review of the Kenya banks' reference rate (KBRR) with a view to improve transmission mechanism and transparency to consumers. We are also enhancing liquidity management via the development of the Horizontal Repo market with a centralized Depository System.

- **Increasing the effectiveness of the CBR.** We are using our monetary policy instruments to align the interbank rate with the CBR. In this regard, we are taking measures to minimize structural rigidities that undermine market signals in the money market. Our ultimate objective is to establish an interest rate corridor for the interbank interest rate by end-September 2016 (**structural benchmark**).

C. Financial Sector

20. Policy objectives: Safeguarding financial stability remains one of our key priorities. We will continue to take steps to further strengthen prudential regulation and supervision, with a view to addressing the increased growth and complexity of the financial sector. This is in tandem with Kenya's Vision 2030 objective of promoting a sound, safe and inclusive financial system to progress towards a regional financial services hub.

21. The banking system's financial soundness indicators remain sound and we are closely monitoring potential risks. The core capital and total capital to total risk weighted assets ratios for the banking system stood at 15.6 percent and 18.6 percent respectively as at end December 2015 above the respective statutory minimums of 10.5 percent and 14.5 percent. We continue to closely monitor credit and liquidity risks through assessment of adequacy of provisions, sufficiency of capital buffers and robustness of liquidity management strategies for banks. The ratio of non-performing loans to total gross loans increased from 5.43 percent as at end-December 2014 to 6.1 percent at end-December 2015. The liquidity ratio increased from 37.7 percent at end December 2014 to 38.1 percent at end-December 2015. Two banks were placed under receivership by the Kenya Deposit Insurance Corporation (KDIC) in August and October 2015 respectively. The two banks were not systemic and the reasons for the placement of the two institutions were unique and not affecting the rest of the banking sector. Working closely with the KDIC, CBK has isolated and contained the impact of the receivership of the two banks on the rest of the banking sector. We will continue monitoring closely both cases, and take necessary actions to ensure an orderly resolution of the two banks.

22. The banking sector has continued to demonstrate robust growth and resilience both in its domestic and regional operations. We have strengthened the legal and regulatory framework by implementing capital conservation buffers, ensuring adequate provisioning for non-performing loans, establishing supervisory colleges for significant regional banking groups and conducting host country legal and regulatory assessments.

23. To further strengthen the legal and regulatory framework in the banking sector, we have identified strategic priority areas. These include:

- The enhancement of bank supervision surveillance processes, procedures and operations, including banking resolution framework.
- Requiring ICT assurance by external auditors of banks.
- Strengthening our macro- and micro-prudential stress testing framework to improve our early warning system for identifying vulnerabilities in the banking sector.
- Strengthening the capital adequacy assessment framework for banks.
- Effectively implementing a risk-based approach to Anti Money Laundering and Combating Financing of Terrorism (AML/CFT) supervision of banks and non-banks under the CBK's regulatory purview.
- Developing a crisis management framework for Kenyan banking groups with significant cross-border operations.
- Developing a legal and operational crisis management framework for Kenya's financial system, including cross border operations.

24. With Fund support, we have conducted a Financial Stability Review. The assessment included a stress testing review and capacity building in this area, a review of the regulatory and supervisory framework for banking supervision, and an assessment of the crisis preparedness and management framework. On this basis, we plan by end-June 2016 to finalize an action plan to strengthen the regulatory and supervisory framework of the banking system **(structural benchmark)**.

D. Other Structural Reforms

25. Policy objectives: We are deepening structural and governance reforms, with a view to ease cost of doing business and thus boost investments and employment creation.

26. We will continue implementing our ambitious reforms aimed at strengthening the business environment in Kenya. We consider creation of a conducive business environment—a key prerequisite for strong economic growth and poverty reduction. To that end, we are taking steps to advance business regulatory reforms with a view to reducing the cost of doing business. These include the implementation of two new Acts—the Companies Act that simplifies business requirements, and the Insolvency Act that allows distressed companies to reorganize themselves prior to liquidation—which should translate into a better integration of Kenyan business in global markets. These efforts will be complemented by further improvements in the automation and simplification of Government services: Huduma Centers, which provide services to citizens in 52 areas; the E-citizens Portal managed by the National Treasury; the Electronic Single Window for customs clearance; and measures to further reduce cost and time for trade along the Northern Corridor and through Mombasa. In addition, we are taking steps to improve the framework for registering property, including the elimination of the requirement for land rent and rates for the transfer of property process, as well as the implementation of new land registration procedures and valuation processes. We are also strengthening the enforcement of contracts. These reforms will encourage investment by foreign and domestic investors.

E. Data Quality

27. Policy objectives: To enhance dissemination of macroeconomic data, we will continue with steps toward improving the quality, coverage, and timeliness of our macroeconomic statistics.

28. Data quality and timeliness. In order to improve macroeconomic data dissemination practices, we intend to participate in the Enhanced General Data Dissemination System (e-GDDS) initiative, subject to the data sensitivities. In this direction, the Kenyan National Bureau of Statistics (KNBS) published the Foreign Investment Survey 2015 (FIS) in September 2015, covering outcomes in 2012 and 2013. The FIS will be an important input for improvements to the balance of payments statistics and production of an International Investment Position (IIP) statement that is fully integrated with the balance of payments. Starting in September 2016, we will publish quarterly consolidated GFS-compliant fiscal accounts for the budgetary central government (national government). The KNBS began work on the Household Budget Survey in September 2015, with a view to publishing the results by March 2017.

V. POLICY RESPONSE TO POTENTIAL SHOCKS

29. Should adverse shocks materialize, we will respond with a combination of corrective fiscal and monetary policies to safeguard macroeconomic stability and the program's objectives, in addition to considering drawing under the precautionary arrangements, up to the extent of the balance of payment need.

Table 1. Kenya: Quantitative Performance Criteria and Indicative Targets, March-December 2015
(in billion of Kenyan shilling, unless otherwise indicated)

	2014		2015												
			Performance Criteria (PC)/Indicative targets (IT)												
	End-Dec.		End-Mar (PC)				End-June (IT)			End-Sep (PC)			End-Dec (IT)		
	Prog.	Prel.	Prog.	Adj. Prog.	Prel.	Met/Not Met	Prog.	Prel.	Met/Not Met	1st Review	Prel.	Met/Not Met	1st Review	Prel.	Met/Not Met
Quantitative performance criteria [1]															
Fiscal targets															
Primary budget balance of the national government (-=deficit, floor) [2, 3]	-104.1	-89.8	-171.9	-174.2	-140.3	Met	-209.9	-174.1	Met	-78.0	52.4	Met	-119.6	-11.0	Met
Monetary targets [4, 5]															
Stock of central bank net international reserves (floor, in millions of US$) [6, 7]	5,909	6,746	5,956	5,956	6,498	Met	6,115	5,918	Not met	5,308	5,545	Met	5,987	6,357	Met
Public debt targets															
Contracting and guaranteeing of all medium and long term nonconcessional	1,100	1,100	1,100	1,100	873	Met	1,600	873	Met	Discontinued	...	...	Discontinued	...	...
National government external payment arrears (ceiling, millions of US$) [10]	0	35	0	0	69	Not met	0	69	Not met	0	0	Met	0	0	Met
Monetary policy consultation clause															
Upper band	...	...	7.5	7.5	...	...	7.5	...		7.5	...		7.5	...	
Center inflation target [11]	...	...	5.0	5.0	5.8	Met	5.0	7.0	Met	5.0	6.1	Met	5.0	7.4	Met
Lower band	...	...	2.5	2.5	...	...	2.5	...		2.5	...		2.5	...	
Indicative targets															
Stock of net domestic assets of the central bank (ceiling) [5]	-230	0	-206	-206	-230	Met	-186	-159	Not met	-111	-121	Met	-124	-165	Met
Priority social expenditures of the national government (floor) [3]	24	24	40	40	42	Met	52	53	Met	12	13	Met	25	18	Not met
Stock of all guarantees issued by the national government (ceiling) [3]	45	45	50	50	0	Met	50	0.0	Met	50	0.0	Met	50	0.0	Met
Memorandum items:															
Maximum upward adjustment of the primary deficit ceiling owing to excess in concessional loans relative to program projections [3]	...	...	59.5	...	...	...	79.3	...	...	16.8	16.8	...	42.0	...	...
Programmed concessional loans [3]	...	...	85.6	...	...	...	119.0	...	...	23.7	23.7	...	69.5	...	...
Budgeted concessional loans [3]	...	...	145.1	...	...	...	198.3	...	...	24.8	72.7	...	111.4	...	...
Programmed external commercial debt (millions of US$) [3]	...	...	750	750	750	...	750	750	...	750	0	...	750	750	...
Program grants [3]	...	...	3.8	3.8	3.5	...	6.1	3.8	...	1.3	1.5	...	2.5	...	...

[1] Performance criteria for end-March 2015 and end-September 2015, and indicative target for end-June 2015 and end-December 2015.
[2] The primary budget balance of the national government is defined as overall balance including grants, plus interest payments, excluding SGR-related expenditure. Targets will be adjusted upwards by the excess in concessional loans relative to the programmed amounts, up to the budgeted amounts, and downwards by the shortfall in concessional loans relative to the programmed amounts.
[3] Targets for end-March 2015 and end-June 2015 are cumulative flows from July 1, 2014 (beginning of the 2014/15 fiscal year). Targets for end-September 2015 and end-December 2015 are cumulative flows from July 1, 2015.
[4] For program monitoring, the daily average for the month when testing dates are due.
[5] The NIR floor will be adjusted upward by half of the excess , and downward fully by the shortfall in external budgetary support (program grants) and external commercial debt relative to the programmed amounts. The NDA ceiling will be adjusted downward by half of the excess and upward fully for the shortfall of external budgetary support (program grants) and external commercial debt relative to the programmed amounts.
[6] Excludes encumbered reserves.
[7] Using exchange rates as at end-October 2014.
[8] Cumulative flow of contracted debt, from July 1, 2014.
[9] The targets on the ceiling of non-concessional external debt combine nonconcessional project loans, syndicated loan and sovereign bond.
[10] Continuous. Cumulative flow in gross terms from July 1, 2014 for the period through end-June 2015, and from July 1, 2015 thereafter.
[11] Compliance will be evaluated based on the 12-month inflation average of the latest three months.

Table 2. Kenya: Structural Benchmarks Under the SBA-SCF Program, September–December 2015

Measure	Target Date	Status
Take measures to strengthen the staffing of the Public Debt Management Office at the National Treasury (IMF Country Report No. 15/269, MEFP ¶12).	End-September 2015	Completed.
Submit to Parliament a new Central Bank of Kenya Bill that sets price stability as primary CBK objective (IMF Country Report No. 15/269, MEFP Table 3).	End-September 2015	Completed.
Complete the audit of assets and liabilities of all counties including those inherited at the onset of devolution (IMF Country Report No. 15/269, MEFP ¶12).	End-December 2015	Not completed. A first-ever list of assets and liabilities is ready for all but one of the 47 counties. The auditing phase will start in June 2016.
Produce GFS-compliant consolidated fiscal accounts for the national government and parastatals (IMF Country Report No. 15/269, MEFP ¶13).	End-September 2015	Completed. Authorities have produced consolidated fiscal accounts for the national government on a cash basis, and separate consolidated accounts for the parastatals on an accrual basis.
Publish Foreign Investment Survey covering years 2012-13 (IMF Country Report No. 15/269, MEFP ¶22).	End-September 2015	Completed.
Complete the migration of all National Government MDAs to IFMIS/ Internet Banking (with the exception of security agencies); capture exchequer, debt payments and other Consolidated Fund Services transactions in IFMIS; reach a Service Level Agreement between the National Treasury and the CBK on agency operations; and start automating of Exchequer release process (IMF Country Report No. 15/269, MEFP ¶13).	End-September 2015	Not completed. The inclusion of debt payments into IFMIS is pending, which is expected to be completed by end-September 2016.

Table 3. Kenya: Proposed Quantitative Performance Criteria and Indicative Targets, March-December 2016

(in billion of Kenyan shilling, unless otherwise indicated)

	2015	2016			
	Act/Est	Performance Criteria (PC)/Indicative targets (IT)			
	End-Dec.	End-Mar (IT)	End-Jun (PC)	End-Sep (IT)	End-Dec (PC)
Quantitative performance criteria [1]					
Fiscal targets					
Primary budget balance of the national government (-=deficit, floor) [2, 3]	-99.5	-164.1	-206.0	-46.0	-82.9
Monetary targets [4, 5]					
Stock of central bank net international reserves (floor, in millions of US$) [6, 7]	6,367	5,784	5,900	5,852	6,283
Public debt target					
National government external payment arrears (ceiling, millions of US$) [8]	0	0	0	0	0
Monetary policy consultation clause					
Upper band	…	8.5	7.5	7.5	7.5
Center inflation target [9]	7.4	5.0	5.0	5.0	5.0
Lower band	…	2.5	2.5	2.5	2.5
Indicative targets					
Stock of net domestic assets of the central bank (ceiling)	-246	-169	-151	-139	-165
Priority social expenditures of the national government (floor) [3]	25	41	60	14.5	20.5
Stock of all guarantees issued by the national government (ceiling) [3]	50	50	50	50	50
Change in the stock of national government domestic bills pending for 90 days or more [3]	…	…	…	…	To be set at 1st review
Memorandum items:					
Maximum upward adjustment of the primary deficit ceiling owing to					
excess in concessional loans relative to program projections [3]	42.0	36.7	37.7	13.6	27.1
Programmed project loans [3, 10]	69.5	61.6	86.4	20.0	56.8
Budgeted project loans [3, 10]	111.4	98.3	124.1	33.6	83.9
Programmed external commercial debt (millions of US$) [3]	750	1,350	1,350	0	1,000
Program grants [3]	2.9	4.5	6.4	1.5	2.7

[1] Performance criteria for end-June 2016 and end-December 2016, and indicative target for end-March 2016 and end-September 2016.
[2] The primary budget balance of the national government and related adjusters are defined, respectively, in paragraph 6 and paragraph 7 of the TMU.
[3] Targets for end-March 2016 and end-June 2016 are cumulative flows from July 1, 2015 (beginning of the 2015/16 fiscal year). Targets for end-September 2016 and end-December 2016 are cumulative flows from July 1, 2016.
[4] For program monitoring, the daily average for the month when testing dates are due.
[5] The adjustors to the NIR and NDA targets are specified, respectively, in paragraph 8 and paragraph 13 of the TMU.
[6] Excludes encumbered reserves. Includes Kenya's reserve tranche position in the Fund starting from March 16, 2016.
[7] Using exchange rates as at end-January 2016 (see TMU ¶9).
[8] Continuous.
[9] Compliance will be evaluated based on the 12-month inflation average of the latest three months.
[10] Excludes the first phase of the Standard Gauge Railway (Mombasa to Nairobi).

Table 4. Kenya: Proposed Structural Benchmarks

Measure	Target Date	Macro criticality
Publish consolidated financial statements of all entities in the public sector (includes SAGAs, AGAs, and other state-owned enterprises), as part of the regular annual reporting (¶16)	End-March 2016	To improve the coverage of fiscal reports
Establish an interest rate corridor for the interbank interest rate around CBR (¶16)	End-September 2016	To improve the effectiveness of monetary policy
Establish a tracking system to closely monitor the accumulation of pending bills and produce monthly Aging Pending Bills reports starting in June 2016 (¶16)	End-June 2016	To prevent the accumulation of pending bills
Incorporate personnel payments into the Integrated Financial Management Information System (IFMIS) by interfacing it with the human resources management information systems (IPPD) (¶16)	End-June 2016	To improve the processing of personnel payments and the comprehensiveness of fiscal reports
Finalize an action plan containing measures to further strengthen banking regulations and supervision to align them with best practices (¶19)	End-June 2016	To safeguard financial stability
Complete a study on tax expenditures, in order to identify their size, type (e.g., tax exemptions, reduced tax rates), their evolution over time, and the category of taxation to which they apply (¶15)	End-September 2016	To reduce tax expenditures and help achieve the fiscal deficit target in 2016/17
Issue and adopt Cabinet guidelines on the selection, appraisal, and funding for major investments projects (¶15)	End-September 2016	To improve the efficiency of public investment
As part of the Treasury Single Account reform, capture all public debt payments in IFMIS (¶15)	End-September 2016	To improve liquidity management and facilitate monetary policy implementation.
Submit to parliament draft legislation to clarify powers by counties to set taxes/user fees, aimed at increasing revenue at the county level, while maintaining a business-friendly tax system (¶16)	End-December 2016	To reduce pressures on transfers to counties while maintaining a business-friendly tax system

Attachment II. Technical Memorandum of Understanding

1. This memorandum sets out the understandings between the Kenyan authorities and the IMF regarding the definitions of quantitative performance criteria and indicative targets, their adjusters and data reporting requirements for the 24-month Stand-By Arrangement and the arrangement under the Standby Credit Facility.

2. For the purposes of the program, the National Government of Kenya corresponds to the budgetary central government encompassing the activities of the national executive, legislative and judicial powers covered by the National Budget. Specifically, it includes the parliament, presidential office, national judiciary, Ministries, Departments, Agencies, and Constitutional Commissions and Independent Offices.

I. QUANTITATIVE PERFORMANCE CRITERIA AND BENCHMARKS

3. Quantitative performance criteria are established for June 30, 2016, and December 31, 2016 with respect to:

- the primary balance of the national government including grants, and excluding spending related to the first phase of the Standard Gauge Railway project (connecting Mombasa to Nairobi), cash basis (**floor**);
- the net official international reserves (NIR) of the Central Bank of Kenya (CBK) (**floor**);
- national government medium- and long-term external public debt arrears (**continuous ceiling**);
- monetary policy consultation clause (**band**).

4. The program sets indicative targets for March 31, 2016 and September 30, 2016 with respect to the above variables, and for March 31, 2016, June 30, 2016, September 30, 2016, and December 31, 2016 unless otherwise specified with respect to:

- the net domestic assets (NDA) of the CBK (**ceiling**);
- change in the stock of national government domestic bills pending for 90 days or longer (**ceiling**) effective from end-December, 2016;
- priority social spending of the national government (**floor**); and
- stock of guarantees issued by the national government (**ceiling**).

II. PERFORMANCE CRITERION ON THE PRIMARY BALANCE OF THE NATIONAL GOVERNMENT

5. **The national government primary balance** on cash basis is defined as national government revenues and grants minus expenditures and net lending, plus due interest payments, and spending related to the Standard Gauge Railway project, adjusted for cash basis.

6. For program purposes, the **national government primary balance**[1] on cash basis will be measured from the financing side as the sum of the following: (a) the negative of net domestic financing of the national government, excluding securitization of VAT refund arrears; (b) the negative of net external financing of the national government, excluding the executed amount of disbursements related to the first phase of the Standard Gauge Railway project (connecting Mombasa to Nairobi); and (c) domestic and external interest payments of the national government. For the March 31, 2016 and June 30, 2016 test dates, the national government primary balance will be measured cumulatively from July 1, 2015, and for the September 30, 2016 and December 31, 2016 test dates cumulatively from July 1, 2016.

The above items are defined as follows:

- **Net domestic financing** of the national government is defined as the sum of:
  - net domestic bank financing;
  - net domestic nonbank financing; and
  - proceeds from privatization.

- **Net external financing at actual transaction exchange rates** is defined as the sum of:
  - disbursements of **external project loans**, including securitization and excluding executed amounts of disbursements related to the first phase of the Standard Gauge Railway project;
  - disbursements of **budget support loans;**
  - the negative of principal repayments due on all **external loans;**
  - net proceeds from issuance of external debt;
  - any exceptional financing (including rescheduled principal and interest);
  - net changes in the stock of short-term external debt; and
  - any change in external arrears including interest payments.

- **Domestic and external interest payments** of the national government are defined as the due interest charges on domestic and external national government debt.

[1] The definition of the national government primary balance presented in the TMUs published as IMF Country report No. 15/31 and 15/269 contained inadvertent errors. The actual data reporting was done based on the understandings reached at the time of the initial program discussions. The current version of the TMU reflects these understandings.

7. Adjustors. The national government primary balance target will be: (i) adjusted downward by the amount of the shortfall in program grants, which are expected as refunds for Kenya's participation in African Union Mission in Somalia (AMISOM), as specified in TMU Table 1 below; and (ii) adjusted downwards by the excess in project loans (excluding first phase of the Standard Gauge Railway project) relative to the programmed amounts, as specified in MEFP Table 3, up to the maximum amounts, as specified in MEFP Table 3.

TMU Table 1. Kenya: African Mission in Somalia (AMISOM) Grant Schedule

(Billions of Kenyan Shillings)

	2016			
	Mar.	Jun.	Sep.	Dec.
Program Amount [1]	4.5	6.4	1.2	2.7

Source: Authorities' data.

1 For FY2015/16 cumulative from July 1, 2015, and for FY2016/17 cumulative from July 1, 2016.

III. PERFORMANCE CRITERION ON THE NET INTERNATIONAL RESERVES OF THE CENTRAL BANK OF KENYA

8. The net official international reserves (NIR) (stock) of the CBK will be calculated as the difference between total gross official international reserves and official reserve liabilities.

- **Gross official international reserves** are defined as the sum of:
  - the CBK's holdings of monetary gold (excluding amounts pledged as collateral);
  - holdings of Special Drawing Rights (SDRs);
  - CBK holdings of convertible currencies in cash or in nonresident financial institutions (deposits, securities, or other financial instruments).
  - Kenya's reserve tranche position with the IMF.
- **Gross official international reserves** exclude:
  - pledged, swapped, or any encumbered reserve assets, including but not limited to reserve assets used as collateral or guarantees for third-party external liabilities;
  - deposits with Crown agents; and
  - precious metals other than gold, assets in nonconvertible currencies and illiquid foreign assets.
- **Gross official reserve liabilities** are defined as:
  - the total outstanding liabilities of the CBK to the IMF, excluding the SDR allocations;
  - convertible currency liabilities of the CBK to nonresidents with an original maturity of up to and including one year;
  - commitments to sell foreign exchange arising from derivatives (such as futures, forwards, swaps, and options).

- The following **adjustors** will apply to the target for NIR:
  - If budgetary external program grants and external commercial debt exceed the programmed amounts set out in TMU Table 2 below, the target for NIR will be adjusted upward by half of the difference.
  - If budgetary external program grants and external commercial debt fall short of the programmed amounts set out in TMU Table 2 below, the target for NIR will be adjusted downward by the difference.

TMU Table 2. Projected Budgetary External Grants and Loans

(US$ millions)

	2016			
	Mar.	Jun.	Sep.	Dec.
Program grants [1]	4.5	6.4	1.5	2.7
External commercial debt [2]	1,350	1,350	0	1,000

Source: Kenyan authorities.

[1] For FY2015/16 cumulative from July 1, 2015, and for FY2016/17 cumulative from July 1, 2016.

[2] For end-March and end-June cumulative from July 1, 2015, and for end-September and end-December cumulative from July 1, 2016.

9. NIR are monitored in U.S. dollars, and, for program monitoring purposes, assets and liabilities in currencies other than the U.S. dollar shall be converted into dollar equivalent values, using the exchange rates as specified in TMU Table 3 below, and net international reserves will be computed as the daily average for the month when the testing date is due.

TMU Table 3. Kenya: Program Exchange Rates

(Rates as of January 26, 2016)

Currency	Kenyan Shillings per currency unit	US Dollars per currency unit
US Dollar	102.24	1.00
STG Pound	145.48	1.42
Japanese Yen	0.87	117.52
Canadian Dollars	71.53	1.43
Euro	110.91	1.08
Swiss Franc	100.85	1.01
Swedish Kronor	11.93	8.57
Danish Kronor	14.87	6.88
Chinese Yuan	15.54	6.58
Australian Dollars	71.02	1.44
SDR	140.87	1.38

Source: Central Bank of Kenya.

IV. CONTINUOUS PERFORMANCE CRITERION ON THE NATIONAL GOVERNMENT EXTERNAL PAYMENT ARREARS

10. National government external payment arrears to official and private external creditors are defined as overdue payments (principal or interest), which were not made by their contract due date nor during the applicable grace period thereafter, on debt contracted by the national government. National government guaranteed external debt payment arrears (principal or interest) to official and private creditors are defined as overdue payments beyond 30 days after the original contract due date in order to allow the national government sufficient time to process the due repayment after the original debtor has notified of its inability to pay. The definition excludes arrears relating to debt subject to renegotiation (dispute) or rescheduling.

11. The performance criterion on the national government external payment arrears is defined as a cumulative flow in gross terms from July 1, 2015 and applies on a continuous basis.

V. MONETARY POLICY CONSULTATION CLAUSE

12. The quarterly bands around the projected 12-month rate of inflation in consumer prices (as measured by the headline consumer price index (CPI) published by the Kenya National Bureau of Statistics), are specified in the TMU Table 4 below.

- If the observed average for the latest three months of the 12-months rate of CPI inflation falls outside the lower or upper bands specified in the TMU Table 4 below for end-June 2016 and end-December 2016 test dates, the authorities will complete a consultation with the Executive IMF Executive Board which would focus on: (i) the stance of monetary policy and whether the Fund-supported program remains on track; (ii) the reasons for program deviations, taking into account compensating factors; and (iii) proposed remedial actions if deemed necessary. When the consultation with the IMF Executive Board is triggered, access to Fund resources will be interrupted until the consultation takes place.

- If the observed average for the latest three months of the 12-month rate of CPI inflation falls outside the lower or upper bands specified in the TMU Table 4 below for end-March 2016 and end-September 2016 test dates, the authorities will conduct discussions with the Fund staff.

TMU Table 4. Inflation Consultation Band

	2015				2016			
	Jan.-Mar. Actual	Apr.-Jun. Actual	Jul.-Sep. Actual	Oct.-Dec. Actual	Jan.-Mar. Indicat.	Apr.-Jun. Target	Jul.-Sep. Indicat.	Oct.-Dec. Target
Upper band					8.5	7.5	7.5	7.5
Actual/*Center point*	5.8	7.0	6.1	7.4	*5.0*	*5.0*	*5.0*	*5.0*
Lower band					2.5	2.5	2.5	2.5

VI. INDICATIVE TARGET ON THE NET DOMESTIC ASSETS OF THE CENTRAL BANK OF KENYA

13. **Net domestic assets (NDA)** are defined as reserve money minus NIR converted in shillings at the accounting exchange rate specified in TMU Table 3, plus medium- and long-term liabilities (i.e., liabilities with a maturity of one year or more) of the CBK; minus the value in shillings of encumbered reserves converted at the accounting exchange rate specified in TMU Table 3.

- NDA is composed of:
  - ➢ net CBK credit to the national government;
  - ➢ outstanding net credit to domestic banks by the CBK (including overdrafts); and
  - ➢ other items net.
- Reserve money is defined as the sum of:
  - ➢ currency in circulation; and
  - ➢ required and excess reserves.
- The following **adjustors** will apply to the target for NDA:
  - ➢ If budgetary support (external grants and loans) and external commercial debt exceed the programmed amounts, the target for NDA will be adjusted downward by half of the difference.
  - ➢ If budgetary support (external grants and loans) and external commercial debt fall short of the programmed amounts, the target for NDA will be adjusted upward by the difference.

14. NDA are monitored in shillings, and will be computed as the daily average for the month when the testing date is due.

VII. INDICATIVE TARGET ON PRIORITY SOCIAL SPENDING

15. For the purposes of the program, priority social spending of the national government is defined as the sum of:

- cash transfers to orphans and vulnerable children;
- cash transfers to elderly;
- free primary education expenditure; and
- free secondary education expenditure**.**

VIII. INDICATIVE TARGET ON GUARANTEES ISSUED BY THE NATIONAL GOVERNMENT

16. The guarantees issued by the national government include all guarantees extended by the national government to counties, public enterprises and all parastatal entities. Indicative targets for end-March 2016 and end-June 2016 are cumulative flows from July 1, 2015, and the indicative target for end-September 2016 and end-December 2016 are cumulative from July 1, 2016.

IX. DATA REPORTING

17. To monitor program performance, the National Treasury and the CBK will provide to the IMF the information at the frequency and within the reporting deadlines specified in TMU Table 5 below.

TMU Table 5. Kenya: Summary of Data to Be Reported

Information	Frequency	Reporting Deadline	Responsible Entity
1. Primary balance of the national government			
Net domestic bank financing (including net commercial bank credit to the national government and net CBK credit to the national government)	Monthly	Within 15 days after the end of the month.	CBK
Net nonbank financing of the national government	Monthly	Within 15 days after the end of the month.	CBK
Proceeds from privatization	Monthly	Within 15 days after the end of the month.	National Treasury (NT)
Interest due and paid on domestic debt	Monthly	Within 15 days after the end of the month.	CBK
Interest due and paid on external debt	Quarterly	Within 4 weeks after the end of the quarter.	CBK
Disbursements of external concessional and nonconcessional project loans, including securitization	Quarterly	Within 45 days after the end of the quarter.	NT
Disbursements of budget support loans	Quarterly	Within 45 days after the end of the quarter.	NT
Principal repayments due and paid on all external loans	Quarterly	Within 15 days after the end of the month.	CBK
Net proceeds from issuance of external debt	Monthly	Within 15 days after the end of the month.	CBK
Any exceptional financing (including rescheduled principal and interest)	Monthly	Within 15 days after the end of the month.	NT
Net changes in the stock of short-term external debt	Quarterly	Within 45 days after the end of the quarter.	NT
Net change in external arrears, including interest and principal, and penalties	Monthly	Within 45 days after the end of the quarter.	NT
2. Gross official international reserves			
CBK's holding of monetary gold (excluding amounts pledged as collateral)	Monthly	Within 15 days after the end of the month.	CBK
Holdings of SDRs.	Monthly	Within 15 days after the end of the month.	CBK
CBK holdings of convertible currencies in cash or in nonresident financial institutions (deposits, securities, or other financial instruments).	Monthly	Within 15 days after the end of the month.	CBK

TMU Table 5. Summary of Data to Be Reported (concluded)

3. Official reserve liabilities			
Total outstanding liabilities of the CBK to the IMF excluding the SDR allocations.	Monthly	Within 15 days after the end of the month.	CBK
Convertible currency liabilities of the CBK to nonresidents with an original maturity of up to and including one year.	Monthly	Within 15 days after the end of the month.	CBK
Commitments to sell foreign exchange arising from derivatives.	Monthly	Within 15 days after the end of the month.	CBK
4. Net domestic assets			
Net CBK credit to the national government.	Monthly	Within 15 days after the end of the month.	CBK
Outstanding net CBK credit to domestic banks (including overdrafts).	Monthly	Within 15 days after the end of the month.	CBK
5. Other indicators			
Currency in circulation.	Monthly	Within 21 days after the end of the month.	CBK
Required and excess reserves	Monthly	Within 21 days after the end of the month.	CBK
Concessional and nonconcessional medium- and long-term external debt contracted or guaranteed by the national government.	Quarterly	Within 45 days after the end of the quarter.	NT
Accumulation of national government external payment arrears.	Monthly	Within 45 days after the end of the quarter.	NT
Change in the stock of national government domestic bills pending for 90 days or more starting June 2016.	Quarterly	Within 45 days after the end of the quarter.	NT
Social priority spending of the national government	Quarterly	Within 45 days after the end of the quarter.	NT
Grants to government entities and total subsidies.	Quarterly	Within 45 days after the end of the quarter.	NT
Guarantees issued by the national government to counties, public enterprises and all parastatal entities.	Monthly	Within 45 days after the end of the quarter.	NT
Inflows/outflows related to the SGR project.	Quarterly	Within 45 days after the end of the quarter.	NT
12-month CPI inflation.	Monthly	Within 15 days after the end of the month.	KNBS